

LatAm Agribusiness

The Sector Remains a Good Funding: Comfortable Inventories, Lack of Catalysts and Structurally Stronger Supply Ahead

We are cutting estimates and becoming more cautious across all agribusiness names, downgrading Sao Martinho from Overweight to Neutral, moving Adecoagro from NR to Underweight following a period of restriction (N before restriction period), and maintaining our Neutral stance on SLC Agricola. Looking at the upcoming crop in 2026, we fail to see any tangible catalysts for prices, especially as all markets look oversupplied and there is no weather event making markets tight on the radar. We are particularly cautious on the sugar and ethanol market, as 2026 will see a large wave of new supply coming from corn ethanol, likely driving prices to trade below historical parity to gasoline. Finally, all companies are engaged in significant capex plans, making 2026 a cash burn year, with leverage moving higher and increasing balance sheet risk. At current levels, SLC trades at 5.8x EV/EBITDA and 17% ex-expansion FCF yield for 2026e (-2.4% standard FCF yld), SMTO at 4.0x EV/EBITDA and 1% ex-expansion FCF yield FY2027e (-12% standard FCF yld), and Adecoagro at 5.4x EV/EBITDA 2026e and 10% ex-expansion FCF yield for 2026e, all close to fair value in our view. In this environment, we believe investors are likely to remain on the sidelines until there is clearer evidence of a commodity price recovery or a shift in sector momentum.

- **Sugar and Ethanol. Lack of price catalyst ahead for sugar, oversupplied ethanol market. This time around, the sugar cycle trough could be tougher due to corn ethanol.** Over the last few months, we have been expecting sugar prices to move upwards on the back of a potential decline in Brazil's cane harvest pace, as Brazil harvests poor quality cane this season. However, this price trigger did not materialize once rainfall by the end of the season surprised to the upside, leading production to increase (~600mt crushing) and prospects for the next crop to improve further in terms of available supply (~630mt crushing). On a global basis, [JPM sees](#) the 25/26E sugar market at a 1.4mt oversupply. 2026 will also likely be the year with the highest corn ethanol additions in years (3.2bn li), which together with higher cane ethanol production could leave the market oversupplied, as [discussed here](#). Thus, we estimate ethanol prices to be on average 29% lower y/y. JPM sees [oil prices 15% lower y/y](#) and [BRL 1% stronger y/y](#).
- **Grains prices near production costs, but inventories remain comfortable on a global basis.** Farmers in Brazil may still have a challenging 2026. Despite

LatAm Food & Beverages and Agribusiness

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
Adecoagro	AGRO US	846.61	USD	8.13	UW	NR	7.00	Dec-26	—	—
SLC Agricola	SLCE3 BZ	1,373.74	BRL	16.59	N	n/c	19.00	Dec-26	22.00	Dec-25
Sao Martinho	SMT03 BZ	867.43	BRL	13.97	N	OW	17.00	Dec-26	30.00	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 28 Nov 25.

See page 38 for analyst certification and important disclosures, including non-US analyst disclosures.

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expected good yields for the soybean summer crop and no major disruptions on the radar, margins should be under pressure once fertilizer prices have increased and prices (especially in BRL terms) are lower this season. On a global basis, JPM sees mostly comfortable inventories impairing a major price recovery.

- **Our relative preference for SLC over SMTO is driven by the more stable outlook for soybeans versus sugar, but we do not see a compelling entry point for either stock until there is evidence of a commodity price recovery.** Considering SLC's latest hedge positions as well as [JPM's house view on soft commodities](#), for 2026, we forecast a net price of \$8.8/bu for soybeans for SLC (-5% y/y), R\$47/bag for corn (-9% y/y), and \$c 70/lb for cotton (-4% y/y) - all three lower than what we had in our previous model. That said, SLC stands out for its diversified crop exposure, with significant contributions from cotton and corn providing some resilience, plus ongoing expansion and disciplined capital allocation supporting long-term growth. All in, investors seem to be waiting for clearer signs of a cycle recovery, which could boost current multiples to more attractive levels - we see SLC trading at 17% fcf yield ex-expansion 2026e, or 5.8x EV/EBITDA 2026e, close to fair levels, in our view.
- **In SMTO, structural headwinds seem to be intensifying as the rapid increase in corn ethanol capacity in Brazil weighs on sentiment, along with sugar weakness.** Despite SMTO's diversified revenue mix, notorious operational efficiency and ongoing expansion projects, the shares remain closely tied to sugar prices, which are under significant pressure, as well as to ethanol prices, which should decrease in the medium term as production capacity increases in Brazil. Furthermore, from a bottom-up perspective, the outlook for the company's cash generation and dividends should remain constrained until such expansion projects are completed (particularly the second phase of its corn ethanol plant, which we do appreciate). While accretive investments during the cycle trough may warrant a focus on the ex-expansion FCF yield, we see little appetite for such an approach in a high-rate, stronger FX environment with weak momentum from key commodities, and would remain Neutral now.
- **Adecoagro stands apart as a more complex story, with bottom-up factors increasingly overshadowing the top-down narrative.** Despite enjoying competitive advantages in both Argentina and Brazil, investor interest in the company remains muted given the stock's low liquidity and the lack of commodities momentum. The recent change in controlling shareholder adds further uncertainty, as Adecoagro's operational and geographic complexity is set to increase with new ventures in bitcoin mining and fertilizer production in Argentina. With no track record of capital allocation from the new owner and leverage trending higher amid weak commodity markets and new projects, we find it difficult to underwrite the story at this point. In contrast to SMTO and SLC, where capital allocation consistency provides some comfort, Adecoagro's outlook remains challenged, supporting our Underweight rating and a reinstated target price of \$7 per share (\$12 prior to restriction). We see the stock trading at 5.4x EV/EBITDA 2026e, a rather rich valuation in our view.

Underweight

AGRO, AGRO US

Price (28 Nov 25):\$8.13

Price Target (Dec-26):\$7.00

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Key Changes (FYE Dec)

	Prev	Cur	Δ%
Revenue - 25E (\$ mn)	1,594	941	-40.9
Revenue - 26E (\$ mn)	1,514	1,223	-19.2

Quarterly Forecasts (FYE Dec)

Revenue (\$ mn)	2024A	2025E	2026E
Q1			
Q2			
Q3			
Q4			
FY	1,519	941	1,223

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	15	20	11	13	23
Growth	54	55	37	8	16
Momentum	100	81	59	39	99
Quality	39	69	37	39	82
Low Vol	52	58	68	85	71

Adecoagro

We are moving Adecoagro to Underweight (from Not Rated) and reinstating a TP of \$7/share (from TP of \$12 prior to restriction), reflecting a challenging outlook driven by weak commodity prices, rising operational complexity, and limited visibility on future cash generation. The company's Argentine farming and Brazilian Sugar & Ethanol operations continue to face pressure from persistently low prices and FX volatility, with consolidated EBITDA projected at \$299mn for 2025 and \$331mn for 2026, -2 and -9% below consensus, respectively. Recent strategic shifts - including new ventures in fertilizer production and bitcoin mining - have increased execution risk and leverage, following the change in controlling shareholder. While Adecoagro's farmland assets in Argentina and competitive advantages in Brazil provide some support, investor sentiment remains subdued due to the stock's low liquidity and the lack of commodities momentum. We do not expect meaningful free cash flow before 2027, as ongoing investments and higher leverage absorb capital. At current levels, Adecoagro trades at 5.4x EV/EBITDA, which we view as a rather rich valuation.

Updating Estimates

- **2025 is shaping up to be a particularly challenging year for the company.** Lower commodity prices, higher input costs, and erratic weather patterns are expected to result in the most pressured margins in the cycle, with consolidated EBITDA now forecast at \$299 mn for 2025 - 2% below consensus, well below prior years, reflecting a difficult operating environment across both the Sugar Ethanol and Crops divisions. In Sugar Ethanol, we estimate 2025 EBITDA of \$270 mn, considering that 91% of the sugar production has already been hedged at \$c 19/lb and that YTD the company has been able to sell ethanol at an adequate price of \$469/m³ - tough comps for 2026. On the other hand, the Crops segment is expected to remain under pressure, with negative EBITDA in 2025 still. A recovery might be expected into 2026, as the company has already announced a reduction in planted area to 180k hectares from 240k, and a shift more towards soybeans and away from corn into the next campaign.
- **In 2026, we anticipate some margin relief as costs adjust to the lower commodity price environment.** Normalized weather conditions could also support a gradual recovery in profitability versus 2025. However, with average interest rates at 6.5% and net debt slightly above \$1 billion, leverage remains a key concern - especially if the Profertil acquisition is fully debt-financed, which remains unknown at this point. For 2025, we estimate a consolidated EBITDA of \$299mn, 2% below consensus. This, combined with some \$70mn in financial expenses and \$742mn in capex, could result in a cash burn of approximately \$400mn for the year. Dividend distributions are expected to remain in line with the 9M figure, with the company revisiting its policy for 2026 given the higher leverage and more volatile cash generation.

The Profertil Acquisition

- **On September 15, Adecoagro entered into an agreement to acquire Nutrien's 50% stake in Profertil, South America's largest granular urea producer, for approximately US\$600 million,** partnering with Asociación de Cooperativas Argentinas (ACA) on a 80%-20% basis. Profertil's facility in Bahía Blanca supplies roughly 60%

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

of Argentina's urea consumption, with an annual production capacity of 1.3 mtons of urea and 790 ktons of ammonia. According to the announcement, Profertil generated an average annual EBITDA of US\$ 390 million over the past five years, and we estimate that EBITDA margins hovered in the 50-55% range. Profertil benefits from access to competitively priced natural gas - accounting for approximately 60% of production costs - and a fully dollarized revenue base, which should help mitigate local currency volatility. The transaction is subject to customary closing conditions and YPF's 90-day right of first refusal, with completion expected by year-end. Adecoagro will initially account for its stake under the equity income method, which we have now included in our model.

- **While the acquisition offers Adecoagro a strategic opportunity to diversify its earnings, it also introduces significant complexity and execution risk.** The move expands Adecoagro's portfolio beyond its core farming and sugar & ethanol operations (which are already an unusual pair in themselves, some investors might argue), raising questions about long-term capital allocation and integration, especially as the company already navigates new ventures in bitcoin mining following the recent change in controlling shareholder. Furthermore, according to our colleagues [Florencia Palacios & team](#), the transaction could materially impact Adecoagro's leverage profile; if fully debt-financed, leverage may increase by nearly 1.5x, further pressuring already elevated credit metrics. From our perspective, although Profertil's cost structure could improve with anticipated declines in natural gas prices given Vaca Muerta's development, and although the asset is well-positioned in a region with a structural urea deficit, concerns remain around low ROIC and the absence of clear synergies.

Figure 1: Adeco New vs Old, JPM vs Consensus

		New			Old			New vs Old			Consensus		JPM vs BBG	
INCOME STATEMENT		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2025E	2026E
Revenue	US\$M	941	1,223	1,285	1,598	1,519	1,514	-41%	-20%	-15%	1,520	1,469	-38%	-17%
Cash COGS		-489	-707	-736	-812	-840	-862	-40%	-16%	-15%				
SG&A		-127	-158	-165	-190	-183	-183	-33%	-14%	-10%				
EBITDA Adj.		299	331	355	572	470	442	-48%	-30%	-20%	307	363	-2%	-9%
EBITDA Margin	%	31.8%	27.1%	27.6%	35.8%	30.9%	29.2%	-40%	-38%	-15%				
Depreciation & Amortization		-223	-280	-295	-233	-248	-263	-4%	13%	12%				
EBIT		76	51	60	339	222	179	-78%	-77%	-67%				
Net Fin'l Result		-77	-123	-121	-64	-75	-67	20%	64%	80%				
FX and Monetary		15	-9	-3	1	0	2	1036%						
EBT		14	-81	-64	276	148	114	-95%						
Taxes		15	-9	-3	1	0	2	1036%						
Net Income		12	23	31	235	126	97	-95%	-81%	-68%	53	80	-77%	-71%
BALANCE SHEET														
Net Debt	US\$M	988	935	808	428	302	194	131%	209%	316%				
ND/EBITDA (LTM)		3.3	2.8	2.3	0.7	0.6	0.4	341%	339%	417%				
WORKING CAPITAL														
Decrease (Increase) in WK	US\$M	122	-58	-11	-26	8	-2			587%				
Cash Flow														
EBITDA	US\$M	299	331	355	572	470	442	-48%	-30%	-20%				
(-) Net Financial Expenses		-77	-123	-121	-64	-75	-67	20%	64%	80%				
(-) Cash Taxes		-2	0	0	-41	-22	-17	-95%						
(-) Decrease (Increase) in WK		122	-58	-11	-26	8	-2			587%				
(-) Capex		-742	-199	-179	-185	-192	-198	300%	4%	-9%				
(=) FCFE		-399	56	139	255	189	158		-71%	-12%				
(=) FCFF		-332	66	156	310	253	216		-74%	-28%				
Dividends		6	12	15	117	63	48	-95%	-81%	-68%				
CAPEX														
Total Capex	US\$M	742	199	179	185	192	198	300%	4%	-9%				
Expansion		580	30	0	0	0	0							
Maintenance		162	169	179	185	192	198	-13%	-12%	-9%				
RETURN METRICS														
ROE	%	4.5%	2.8%	3.9%	22.3%	13.5%	11.4%	-1780	-1067	-746				
ROIC		5.8%	6.9%	7.8%	20.2%	15.1%	13.7%	-1444	-820	-585				
EBITDA Breakdown														
EBITDA Adj.	US\$M	299	331	355	572	470	442	-48%	-30%	-20%				
S&E		269	257	277	481	375	343	-44%	-31%	-19%				
Farming		56	101	106	116	121	125	-52%	-17%	-15%				
EBITDA Margin														
EBITDA Margin	%	31.8%	27.1%	27.6%	35.8%	30.9%	29.2%	-40%	-38%	-15%				
S&E		44.7%	42.2%	43.2%	53.6%	47.8%	45.4%	-890	-558	-223				
Farming		16.5%	16.5%	16.5%	16.5%	16.5%	16.5%	0	0	0				
CASH COST PER UNIT														
EBITDA Cost/TRS	US\$/t	179	176	179	199	201	203	-10%	-13%	-12%				
EBITDA Cost/Ton of Cane Crushed	US\$/t	23	23	24	27	27	27	-16%	-12%	-12%				
MACRO														
BRL avg		5.60	5.58	5.70	5.18	5.16	5.21	8%	8%	9%				
BRL eop		5.50	5.65	5.75	5.15	5.18	5.24	7%	9%	10%				

Source: J.P. Morgan estimates, Company data., Bloomberg Finance L.P.

Price Performance



	YTD	1m	3m	12m
Abs	-13.8%	-2.9%	-4.5%	-24.4%
Rel	-25.9%	-2.6%	-9.6%	-27.1%

Company Data

Shares O/S (mn)	104
52-week range (\$)	11.78-7.42
Market cap (\$ mn)	846.61
Exchange rate	1.00
Free float (%)	23.9%
3M ADV (mn)	0.46
3M ADV (\$ mn)	3.6
Volatility (90 Day)	35
Index	RUSSELL 2000
BBG ANR (Buy Hold Sell)	1 2 2

Key Metrics (FYE Dec)

\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Revenue	1,519	941	1,223	1,285
Adj. EBITDA	444	299	331	355
Adj. EBIT	221	76	51	60
Adj. net income	131	12	128	125
Adj. EPS	1.26	0.11	1.23	1.21
BBG EPS	1.32	0.52	0.79	0.73
Cashflow from operations	195	343	255	318
FCFF	(30)	(343)	66	156
Margins and Growth				
Revenue Growth Y/Y (%)	16.9%	(38.0%)	29.9%	5.1%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	-	-	-	-
EBITDA margin	29.2%	31.8%	27.1%	27.6%
EBITDA Growth Y/Y (%)	(0.6%)	(32.7%)	10.6%	7.3%
EBIT margin	14.6%	8.1%	4.2%	4.7%
Net margin	8.6%	1.3%	10.5%	9.8%
Adj. EPS growth	(40.6%)	(90.9%)	972.7%	(2.2%)
Ratios				
Net debt/EBITDA	1.3	3.3	2.8	2.3
ROIC	-	-	-	-
ROE	10.1%	0.9%	9.4%	9.0%
Valuation				
FCFF yield	(3.5%)	(40.5%)	7.8%	18.4%
Dividend yield	-	-	-	-
EV/Revenue	1.0	2.0	1.5	1.3
EV/EBITDA	3.3	6.2	5.4	4.7
Adj. P/E	6.5	70.8	6.6	6.7

Summary Investment Thesis and Valuation

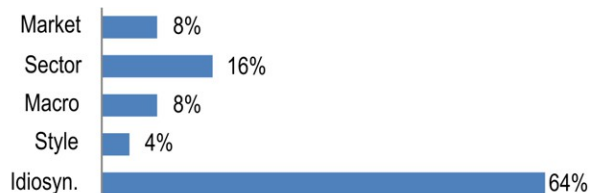
Investment Thesis

We rate Adecoagro as Underweight, reflecting our cautious stance amid rising operational complexity, elevated leverage, and limited near-term catalysts. While the company benefits from diversified agribusiness operations across Argentina and Brazil, including sugar, ethanol, and farming, we see mounting risks from the expansion into new ventures such as fertilizer and bitcoin mining. Despite some recovery in productivity and yields in Argentina and a more balanced outlook for sugar, we believe valuation is stretched and cash generation will remain under pressure given higher capex and uncertain commodity markets. Overall, we see limited upside and prefer to remain on the sidelines until there is greater clarity on capital allocation and a more supportive macro backdrop.

Valuation

Our Dec 2025 price target is derived by a combination of equally weighted 10Y DCF and EV/EBITDA target - we target 4.0x EV/EBITDA.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	-0.17	-0.17
Sect: Cons Staples	0.42	0.38
Ind: Food Bev & Tobacco	0.46	0.45
Macro:		
US 10yr Breakeven	0.42	0.26
Crude Oil	0.36	0.22
Credit Spread	-0.28	-0.20
Quant Styles:		
DivYld	0.33	0.37
LowVol	0.18	0.28
Growth	-0.11	-0.24

Investment Thesis, Valuation and Risks

Adecoagro (*Underweight; Price Target: \$7.00*)

Investment Thesis

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Risks to Rating and Price Target

- *Execution risk in delivering operating efficiency.* Our model incorporate gains in operational efficiency, such as better yields, and larger planted area. Thus, if the company cannot deliver such gains, there could be downside risk to our forecasts.
- *Weather effects.* Temperature/rainfall can be more favorable/unfavorable than expected, leading to upside/downside risk to productivity expectations.
- *Further downside/upside in commodity prices.* Unexpected declines/increases in commodity prices could impact earnings results and FCF negatively/positively.
- *Business environment in Argentina.* Adecoagro could be negatively/positively affected by potential increase/decrease in export taxes or prolonged period of capital controls.
- *M&A.* Adecoagro has been engaged in acquiring assets in the domestic market and would not rule out expansions in the S&E market in Brazil as well. M&A could bring downside to our fair value estimates, depending on valuation and synergies.

Adecoagro: Summary of Financials

Income Statement						Cash Flow Statement					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Revenue	1,299	1,519	941	1,223	1,285	Cash flow from operating activities	408	195	343	255	318
COGS	(762)	(975)	(489)	(707)	(736)	o/w Depreciation & amortization	212	223	223	280	295
Gross profit	-	-	-	-	-	o/w Changes in working capital	(71)	(179)	122	(58)	(11)
SG&A	(199)	(257)	(153)	(185)	(193)	Cash flow from investing activities	(250)	(274)	(742)	(199)	(179)
Adj. EBITDA	447	444	299	331	355	o/w Capital expenditure	(250)	(274)	(742)	(199)	(179)
D&A	(212)	(223)	(223)	(280)	(295)	as % of sales	19.3%	18.1%	78.8%	16.3%	13.9%
Adj. EBIT	235	221	76	51	60	Cash flow from financing activities	(437)	(219)	370	375	22
Net Interest	7	(17)	(77)	(123)	(121)	o/w Dividends paid	0	0	(6)	(12)	(15)
Adj. PBT	299	74	14	(81)	(64)	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(79)	57	(2)	0	0	o/w Net debt issued/(repaid)	(437)	(219)	376	387	37
Minority Interest	0	0	0	105	95	Net change in cash	(279)	(298)	(3)	425	149
Adj. Net Income	220	131	12	128	125	Adj. Free cash flow to firm	126	(30)	(343)	66	156
Reported EPS	2.37	0.82	0.11	1.23	1.21						
Adj. EPS	2.12	1.26	0.11	1.23	1.21						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	104	104	104	104	104						
Balance Sheet						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	340	211	208	634	783	Gross margin	-	-	-	-	-
Accounts receivable	179	213	132	172	180	EBITDA margin	34.4%	29.2%	31.8%	27.1%	27.6%
Inventories	256	290	145	210	219	EBIT margin	18.1%	14.6%	8.1%	4.2%	4.7%
Other current assets	281	301	301	301	301	Net profit margin	17.0%	8.6%	1.3%	10.5%	9.8%
Current assets	1,056	1,015	787	1,316	1,483	ROE	18.7%	10.1%	0.9%	9.4%	9.0%
PP&E	1,550	1,549	2,067	1,986	1,870	ROA	7.0%	4.2%	0.4%	3.5%	3.2%
LT investments	0	0	0	0	0	ROCE	8.1%	2.3%	2.7%	1.9%	2.0%
Other non current assets	560	551	551	551	551	SG&A/Sales	15.4%	16.9%	16.3%	15.1%	15.1%
Total assets	3,165	3,115	3,405	3,854	3,904	Net debt/Equity	0.4	0.4	0.7	0.7	0.6
Short term borrowings	207	100	299	392	398	Net debt/EBITDA	1.3	1.3	3.3	2.8	2.3
Payables	191	207	104	150	156	Sales/Assets (x)	0.4	0.5	0.3	0.3	0.3
Other short term liabilities	96	94	94	94	94	Assets/Equity (x)	2.7	2.4	2.4	2.7	2.8
Current liabilities	494	400	497	636	648	Interest cover (x)	NM	26.5	3.9	2.7	2.9
Long-term debt	698	680	897	1,176	1,193	Operating leverage	31.9%	(35.6%)	172.8%	(110.3%)	348.9%
Other long term liabilities	707	626	626	626	626	Tax rate	26.3%	77.3%	15.0%	0.0%	0.0%
Total liabilities	1,899	1,707	2,021	2,438	2,468	Revenue y/y Growth	(3.6%)	16.9%	(38.0%)	29.9%	5.1%
Shareholders' equity	1,229	1,369	1,346	1,376	1,398	EBITDA y/y Growth	4.1%	(0.6%)	(32.7%)	10.6%	7.3%
Minority interests	37	39	39	39	39	EPS y/y Growth	165.7%	(40.6%)	(90.9%)	972.7%	(2.2%)
Total liabilities & equity	3,165	3,115	3,405	3,854	3,904						
BVPS	-	-	-	-	-	Valuation					
y/y Growth	-	-	-	-	-		FY23A	FY24A	FY25E	FY26E	FY27E
Net debt/(cash)	565	568	988	935	808	P/E (x)	3.8	6.5	70.8	6.6	6.7
						P/BV (x)	-	-	-	-	-
						EV/EBITDA (x)	3.2	3.3	6.2	5.4	4.7
						Dividend Yield	-	-	-	-	-

Source: Company reports and J.P. Morgan estimates.

Note: \$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

SLCE3.SA, SLCE3 BZ

Price (28 Nov 25):R\$16.59

▼ **Price Target (Dec-26):R\$19.00**

Prior (Dec-25):R\$22.00

LatAm Food & Beverages and Agribusiness

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Banco J.P. Morgan S.A.

Key Changes (FYE Dec)

	Prev	Cur	Δ%
Adj. EPS - 26E (R\$)	1.94	1.80	-6.9

Quarterly Forecasts (FYE Dec)

Adj. EPS (R\$)	2024A	2025E	2026E
Q1			
Q2			
Q3			
Q4			
FY	1.62	1.60	1.80

Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	73	67	57	36	49
Growth	52	49	91	51	19
Momentum	85	24	68	42	17
Quality	51	69	57	32	46
Low Vol	11	18	23	48	15

SLC Agricola

We are maintaining our Neutral rating on SLC Agricola while slightly decreasing our estimates and our TP to R\$19/share (from previous R\$22/sh). We now project total planted area at 836,000 hectares for 2026, in line with company guidance and flat versus our previous model. Average yields for 2026 are up 5% on company guidance, with second crop corn rising 11% to 7.7 tons/hectare and second crop cotton up 9% to nearly 2 tons/hectare, while soybean yields remain flat at 4 tons/hectare - almost 10% above the national average. On the other hand, production costs per hectare are set to increase 9.6% y/y, driven by higher input prices, as SLC is fully bought across key fertilizer and pesticide categories. Furthermore, considering SLC's latest hedge positions as well as [JPM's house view on soft commodities](#), for 2026, we forecast a net price of \$8.8/bu for soybeans for SLC (-5% y/y), R\$47/bag for corn (-9% y/y), and \$c 70/lb for cotton (-4% y/y) - all three lower than what we had in our previous model. All in, we are slightly decreasing our adjusted EBITDA estimates to R\$2.6 bn for 2025 and R\$2.9 bn for 2026, which are -4% and +2% versus consensus, respectively - of note, these figures include IFRS-16, i.e., they still need to be adjusted for leases. Importantly, we do not expect meaningful cash generation until 2027, as leverage could peak into next year. While SLC's diversified crop exposure and operational efficiency support long-term growth, we believe investors will remain cautious until there is greater visibility on commodity price recovery and cash generation. As we have [written before](#), SLC is an excellent long-term story that lacks near-term triggers, in our view.

Updating Estimates: 2% Above Consensus on 2026 EBITDA; Cash Generation Back Only in 2027

- **Maintaining total planted area at 836 k hectares**, in-line with the company's guidance and flat versus our previous model. Two key sources of upside here include (i) the company's long-term goal to add at least **35k hectares per year**, which we do not currently include in our model given the lack of predictability regarding when this might happen (of note, we do not include the associated capex either); (ii) the company's medium-term goal to convert more of its MATOPIBA area to the two crops per year model **through irrigation**, which we also do not currently include in our model given the project's status as in the its initial phases (capex for irrigation is estimated at R\$25 thousand per hectare, according to company's estimates).
- **Increasing avg 2026e yields by 5%**, in-line with the company's guidance. 2nd crop corn had the highest increase versus our previous estimate, +11% and now at 7.7 tons/hectare, followed by 2nd crop cotton, which is now 9% higher than our previous estimate and shall reach almost 2 tons per hectare, according to the company's latest guidance. Soybean yields remained flat versus our previous estimate at 4 tons per hectare, or 67 bags per hectare, almost 10% above the national average. In the long-term, we attribute 3% efficiency gains per year in yields for SLC, though we do not assume this into perpetuity.
- **We are increasing our estimates for production costs per hectare based on the company's guidance**, which are bound to increase 9.6% y/y on average according to SLC, versus our previous estimate of a slight decrease in costs. This is mainly on the back of higher than previously anticipated input costs, which are fairly set and already widely expected by the market, as the company published in its latest quarterly results that it is virtually fully bought across all key fertilizer and pesticides categories.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

- **All in, we are decreasing our adj. EBITDA estimates by -3% and -7% in 2025 and 2026, respectively.** These figures include IFRS-16 - in other words, some R\$550mn in land leases still have to be deducted each year to get to JPMe's adj. EBITDA figures, which are R\$2bn and R\$2.3bn in 2025 and 2026. Comparing ex-IFRS figures to consensus is somewhat difficult given the lack of consistency between methodologies (i.e., not everyone seems to be adjusting to IFRS), but we are -4% and 2% above the Street. Most importantly, we do not expect meaningful cash generation until 2027, as leverage could peak into next year (*table below*).

Figure 2: SLC New vs Old, JPM vs Consensus

		New			Old			New vs Old			Consensus		JPM vs BBG	
INCOME STATEMENT		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2025E	2026E
Revenue	R\$M	7,622	8,761	8,176	7,620	7,934	8,491	0%	10%	-4%	8,311	8,822	-8%	-1%
Cash COGS		-4,165	-4,906	-4,154	-4,091	-3,932	-4,326	2%	25%	-4%				
SG&A		-852	-948	-921	-850	-882	-932	0%	7%	-1%				
EBITDA Adj. IFRS16		2,606	2,908	3,101	2,680	3,120	3,233	-3%	-7%	-4%	2,711	2,865	-4%	2%
EBITDA Margin	%	26.9%	25.8%	30.0%	26.8%	30.0%	30.0%	14	-416	0				
Depreciation & Amortization		-257	-286	-286	-254	-290	-290	1%	-1%	-1%				
EBIT		1,797	1,978	2,167	1,789	2,090	2,257	0%	-5%	-4%				
Net Finl Result		-648	-757	-819	-623	-801	-915	4%	-6%	-10%				
FX and Monetary		-296	-275	-256	-288	-264	-238	3%	4%	8%				
EBT		853	946	1,092	878	1,025	1,105	-3%	-8%	-1%				
Taxes		-145	-147	-180	-152	-167	-187	-4%	-12%	-4%				
Net Income		708	799	913	727	858	918	-3%	-7%	-1%	794	797	-11%	0%
BALANCE SHEET		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Net Debt	R\$M	5,270	6,198	5,848	5,223	5,809	6,054	1%	7%	-3%				
ND/EBITDA (LTM)		2.6	2.7	2.4	2.6	2.4	2.4	0%	12%	0%				
WORKING CAPITAL		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Decrease (Increase) in WK	R\$M	187	-402	383	223	62	-212	-16%						
Cash Flow		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
EBITDA ex lease	R\$M	2,054	2,264	2,453	2,043	2,380	2,547	1%	-5%	-4%				
(-) Net Financial Expenses		-648	-757	-819	-623	-801	-915	4%	-6%	-10%				
(-) Cash Taxes		-145	-147	-180	-152	-167	-187	-4%	-12%	-4%				
(-) Decrease (Increase) in WK		187	-402	383	223	62	-212	-16%						
(-) Capex		-2,340	-1,135	-517	-2,340	-1,101	-545	0%	3%	-5%				
(=) FCFE		-892	-177	1,320	-849	373	690	5%		91%				
(=) FCFF		-559	292	1,852	-533	881	1,305	5%	-67%	42%				
Dividends		177	200	456	182	429	459	-3%	-53%	-1%				
CAPEX		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Total Capex	R\$M	2,340	1,135	517	2,340	1,101	545	0%	3%	-5%				
Expansion		450	315	0	450	0	0	0%						
Maintenance		450	700	517	450	524	545	0%	34%	-5%				
RETURN METRICS		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
ROE	%	17.0%	13.3%	17.7%	17.2%	18.0%	17.7%	-20	-466	2				
ROIC		14.4%	12.7%	15.7%	14.3%	15.6%	16.2%	10	-294	-56				
PLANTED AREA		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Total Planted Area	k ha	736	836	836	732	835	835	1%	0%	0%				
VOLUME Breakdown		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Total Production	kt	3,311	3,900	4,050	3,265	3,648	3,790	1%	7%	7%				
AVERAGE PRICES		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Cotton	\$c/lb	73.2	70.3	76.0	75.4	74.1	75.9	-3%	-5%	0%				
Soybean	\$/bu	9.2	8.8	9.0	8.4	8.4	8.1	10%	5%	11%				
Corn	\$/bu	4.4	4.6	4.6	4.5	4.4	4.5	-1%	4%	3%				
CASH COST PER UNIT		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Cotton 1st crop	R\$M	12,876	13,846	14,193	12,876	12,878	13,367	0%	8%	6%				
Cotton 2nd crop	R\$M	11,663	12,849	13,171	11,663	11,677	12,114	0%	10%	9%				
Soybean	R\$M	4,659	5,181	5,314	4,659	4,739	4,877	0%	9%	9%				
Corn 2nd crop	R\$M	3,967	4,346	4,514	3,967	4,230	4,223	0%	3%	7%				
EBITDA/HA		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
EBITDA/ha Nominal	R\$/ha	2,791	2,709	2,935	2,792	2,852	3,052	0%	-5%	-4%				
EBITDA/ha Real	R\$/ha	478	472	486	473	473	487	1%	0%	0%				
KEY COMMODITY PRICES		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
Cotton	\$c/lb	68	74	76	74	74	76	-8%	0%	0%				
Soybean	\$/bu	10.3	10.8	11.2	10.0	9.9	10.1	3%	10%	11%				
Corn	\$/bu	4.4	4.6	4.6	4.5	4.4	4.5	-1%	4%	3%				
MACRO		2025E	2026E	2027E	2025E	2026E	2027E	2025E	2026E	2027E				
BRL avg		5.84	5.58	5.70	5.90	5.85	5.90	-1%	-5%	-3%				
BRL eop		5.50	5.65	5.75	5.80	5.90	5.90	-5%	-4%	-3%				

Source: Bloomberg Finance L.P., J.P. Morgan estimates, Company data.

Cotton as JPM's Top Pick, Bullish Bias on Corn, Bearish on Soybeans in the Short-Term

*Views expressed here are based on Tracey Allen & team's latest [Agricultural Commodities 2026/27 Outlook report](#), in which they note that volatility is likely to return off compressed levels in 2026, as global agri availability continues to slide. Top house call across agri markets through 2026/27 is **ICE #2 Cotton (4Q26f: 75 US\$/lb)**, which could directly impact SLC. Please find our main views per commodity below.*

For 2026, we forecast a net price of \$8.8/bu for soybeans for SLC (-5% y/y), versus \$8.4/bu in our previous model, considering that the company already has 60% of its production hedged at an average price of \$11/bu and that we adopt [JPM's forecast of \\$10.8/bu for FY2026](#) for the unhedged portion.

- **Tracey & team maintain a short-term bearish view on soybeans.** World soybean inventories are forecast to decline in 2025/26, marking the first of expected consecutive draws over the seasons ahead. Although global production should rise in 2026/27 – driven by increased US acreage and higher Latin American output – crushing demand is set to outpace these gains, further reducing stocks. For 2025/26, they anticipate record Brazilian soybean **production and exports of 175 and 115 mtons**, respectively. That said, La Niña's impact, especially potential dryness in Argentina, should be monitored closely.

For 2026, we forecast a net price of R\$47/bag for corn for SLC (-9% y/y), versus R\$45/bag in our previous model, considering that the company already has 19% of its production hedged at an average price of R\$54/bag and that we adopt [JPM's forecast of \\$4.6/bu for FY2026](#) for the unhedged portion.

- **Tracey & team note that China remains well stocked with grains, so major US grain exports to China are unlikely**, though this remains an upside risk. US corn plantings are projected to fall in 2026/27 to about 93 million acres as farmers rotate back to soybeans, with possible firmer Chinese demand. South America may achieve record corn production, but La Niña-related dryness is a risk. Of note, industrial demand growth in Brazil's ethanol sector is expected to persist, **continuing to drive up local premiums** and limiting Brazil's export surplus.

For 2026, we forecast a net price of \$c 70/lb for cotton for SLC (-4% y/y), versus \$c 74/lb in our previous model, considering that the company already has 25% of its production hedged at an average price of \$c 74/bag and that we adopt [JPM's forecast of \\$c 74/lb for FY2026](#) for the unhedged portion.

- **Tracey & team maintain a constructive view on cotton based on tight US stocks and an improving US - China trade relationship.** They forecast world cotton ending stocks to decline by 2.1% y/y through the current 2025/26 marketing year following a projected decline in plantings. Looking into 2026/27, any improvement in ICE #2 Cotton prices per their forecast will likely drive an increase in US plantings and production; however, we also see this being offset by an increase in exports. Brazilian production and export growth are projected to continue, **albeit at a slower rate than in recent years**. At the global level, 2026/27 ending stocks are projected to remain largely unchanged y/y with STU at 60%.

Figure 3: J.P. Morgan Agri Commodity Price Forecasts

Based on T. Allen & team's latest report, available [here](#)

J.P. Morgan agri commodity price forecasts																	
Agri Commodities		2024	1Q25	2Q25	3Q25	4Q25f	2025f	1Q26f	2Q26f	3Q26f	4Q26f	2026f	1Q27f	2Q27f	3Q27f	4Q27f	2027f
CBOT Wheat US\$/bu	Base case (Nov 25)	573	555	533	521	540	537	560	560	560	580	565	570	570	560	600	575
	Change from Oct 25 (%)					2%	1%	2%	0%	0%	4%	1%					
	Base case (Oct 25)					530	530	550	560	560	560	558					
CBOT Corn US\$/bu	Base case (Nov 25)	424	472	451	401	440	441	450	460	450	470	458	460	460	450	480	463
	Change from Oct 25 (%)					2%	3%	2%	5%	2%	4%	3%					
	Base case (Oct 25)					430	430	440	440	440	450	443					
CBOT Soybeans US\$/bu	Base case (Nov 25)	1,103	1,024	1,043	1,011	1,030	1,027	1,080	1,100	1,050	1,100	1,083	1,100	1,130	1,100	1,150	1,120
	Change from Oct 25 (%)					11%	10%	14%	16%	11%	16%	14%					
	Base case (Oct 25)					930	930	950	950	950	950	950					
ICE #11 Sugar US\$/lb	Base case (Nov 25)	20.8	19.4	17.3	16.2	15.3	17.0	16.5	15.5	15.5	17.0	16.1	17.0	16.5	17.0	17.5	17.0
	Change from Oct 25 (%)					-13%	-3%	-8%	-11%	-9%	-6%	-9%					
	Base case (Oct 25)					18	18	18	18	17	18	18					
ICE #2 Cotton US\$/lb	Base case (Nov 25)	77	66	66	66	75	68	73	73	74	75	74	75	76	76	76	76
	Change from Oct 25 (%)					0%	-9%	0%	0%	0%	0%	0%					
	Base case (Oct 25)					75	75	73	73	74	75	74					
MDE-Bursa Palm Oil MYR/t	Base case (Nov 25)	4,211	4,674	4,050	4,264	4,300	4,322	4,300	4,200	4,500	4,500	4,375	4,600	4,500	4,600	4,700	4,600
	Change from Oct 25 (%)					0%	1%	0%	0%	0%	0%	0%					
	Base case (Oct 25)					4,300	4,300	4,300	4,200	4,500	4,500	4,375					

Note: All forecasts are period averages, as of 12/11/202

Source: CBOT, ICE, Bloomberg Finance L.P., J.P. Morgan Commodities Research.

Figure 4: Bullish risk bias across CBOT Corn and ICE #2 Cotton, among others; Bearish short-term view on CBOT Soybeans

Based on T. Allen & team's latest report, available [here](#)

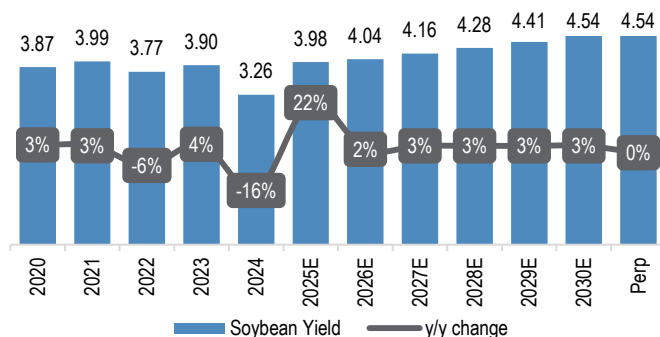
Risk bias	% from 4Q25 futures to base case Q4 2026f	2026 scenario	Long term z-score	2026 forecast range under risk scenario
CBOT Corn			-0.41	
Bullish	470 USc/bu 9.3%	Bearish: a) US-China trade relationship deteriorates b) US farmers plant over 94 million ac of corn c) Livestock number continue to contract and animal feed demand fails to show signs of recovery		380 - 450 USc/bu
		Bullish: a) US - China Phase One like Trade Deal negotiated in 2026 b) Dry La Nina conditions reduce Argentine and Brazilian safrinha corn yields c) US domestic demand outperforms our projection, tightening stocks below 2 billion bu d) US 2026/27 new crop production disappoints		470 - 520 USc/bu
ICE #2 Cotton			-0.69	
Bullish	75 USc/lb 16.1%	Bearish: a) Global cotton consumption growth remains tepid and dips <1% YOY b) US - China trade relations sour c) Investors extend historic short position across ICE #2 Cotton		65 - 73 USc/lb
		Bullish: a) Upside risks to our base case scenario include stronger global growth through 2026 which raises global cotton consumption >3% pa b) China's import demand increases above 8 million bales c) US cotton exports rise >13.5 million bales as China steps up purchases		75 - 80 USc/lb
CBOT Soybeans			0.60	
Neutral	1100 USc/bu 1.7%	Bearish: a) US-China trade relationship deteriorates and US exports decline below 1.6 billion bu b) Friendly South American weather raises production potential >10% YOY c) Slow global growth weighs on soybean product demand and crush rates decline		900 - 1,050 USc/bu
		Bullish: a) US - China Phase One like Trade Deal negotiated in 2026 drives China's US soybean imports >25 million tonnes (growing US market share) b) Dry La Nina conditions reduce Argentine soybean production c) Global crush demand rises above expectations amid rising global growth and stronger animal feed demand		1,050 - 1,250 USc/bu

Source: J.P. Morgan Commodities Research.

SLC's Operational Summary

Figure 5: SLC's Soybean Yield

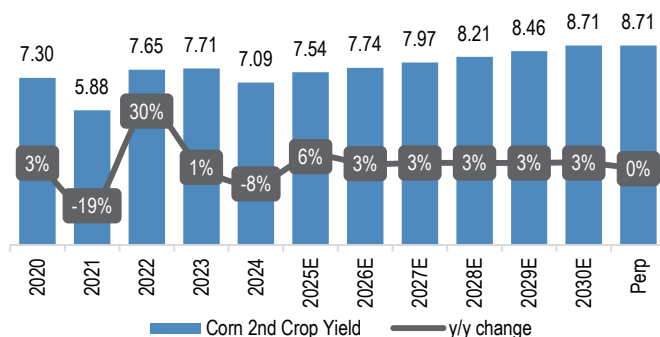
ton/ha, %



Source: Company data, J.P. Morgan Estimates.

Figure 7: SLC's Corn 2nd Crop Yield

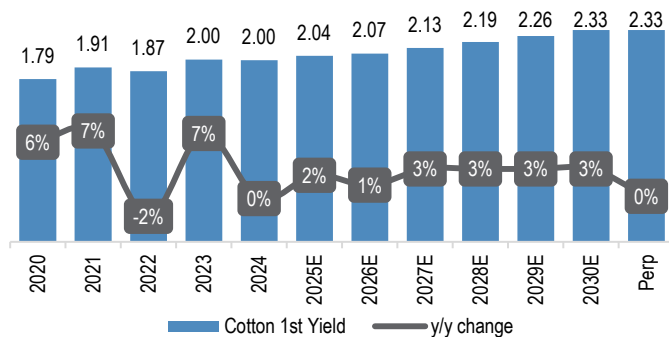
ton/ha, %



Source: Company data, J.P. Morgan Estimates.

Figure 9: SLC's Cotton 1st Crop Yield

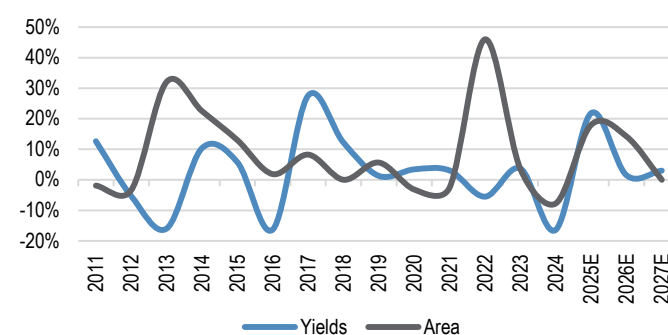
ton/ha, %



Source: Company data, J.P. Morgan Estimates.

Figure 6: SLC's Soybean y/y Change Breakdown

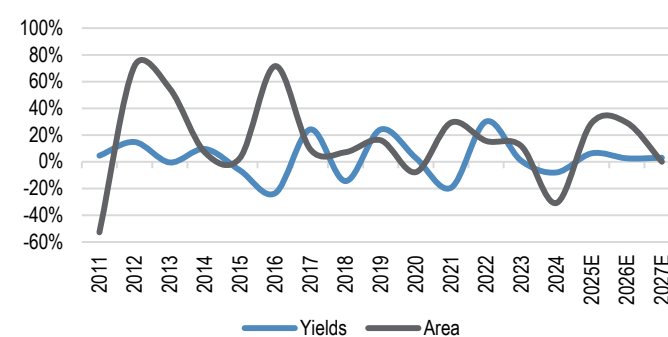
%



Source: Company data, J.P. Morgan Estimates.

Figure 8: SLC's Corn y/y Change Breakdown

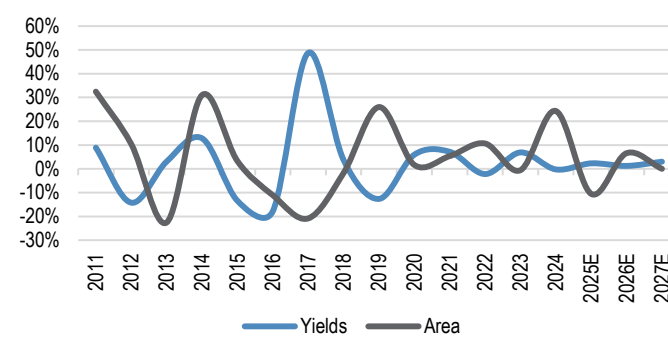
%



Source: Company data, J.P. Morgan Estimates.

Figure 10: SLC's Cotton 1st Crop y/y Change Breakdown

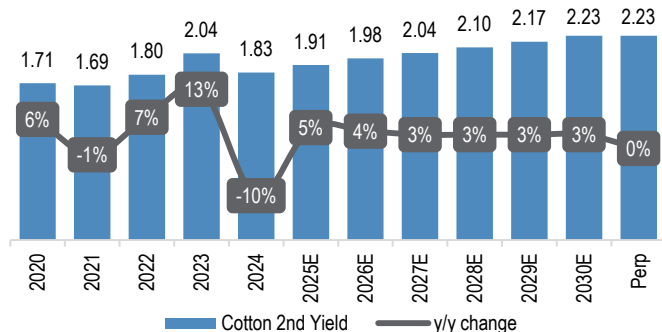
%



Source: Company data, J.P. Morgan Estimates.

Figure 11: SLC's Cotton 2nd Crop Yield

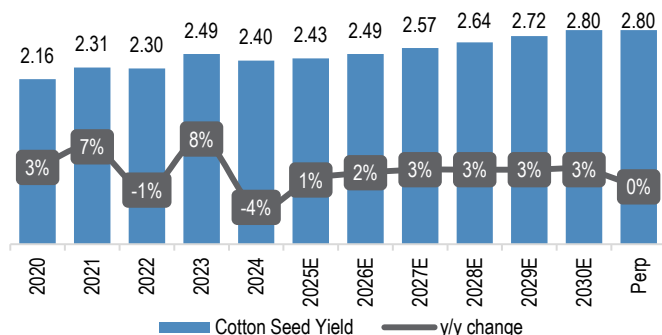
ton/ha, %



Source: Company data, J.P. Morgan Estimates

Figure 13: SLC's Cotton Seed Yield

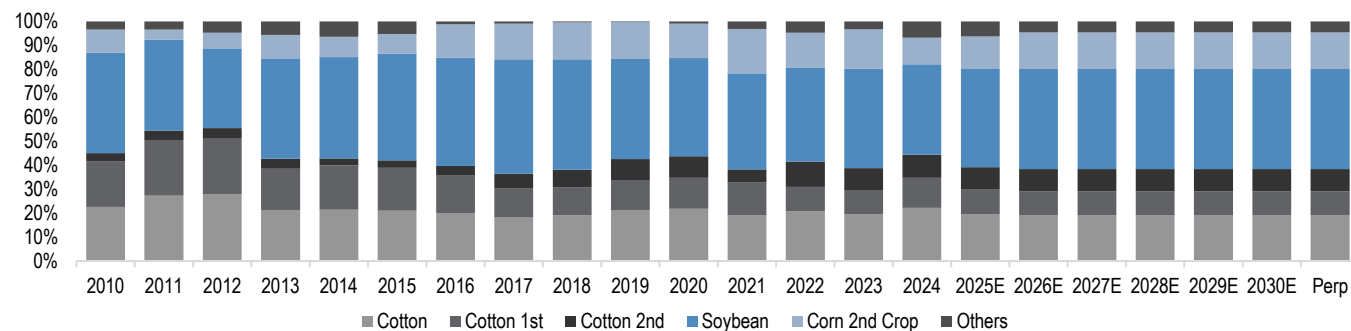
ton/ha, %



Source: Company data, J.P. Morgan Estimates

Figure 15: SLC's Planted Area Breakdown

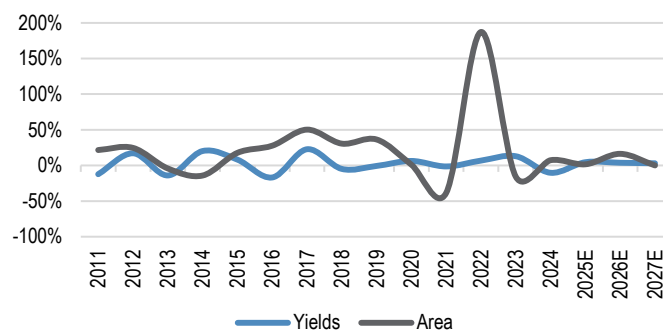
%



Source: Company data, J.P. Morgan Estimates.

Figure 12: SLC's Cotton 2nd Crop y/y Change Breakdown

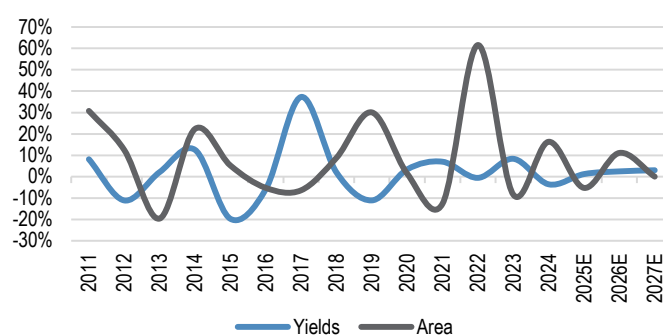
%



Source: Company data, J.P. Morgan Estimates

Figure 14: SLC's Cotton Seed y/y Change Breakdown

%



Source: Company data, J.P. Morgan Estimates

Figure 16: SLC's Soybean Commodity Hedge for Current Crop

%

	Q1	Q2	Q3	Q4
2020	80.1%	92.1%	99.7%	100.0%
2021	74.8%	81.4%	99.2%	99.9%
2022	73.9%	81.2%	97.7%	100.0%
2023	72.1%	78.9%	99.0%	100.0%
2024	71.1%	91.3%	99.6%	100.0%
2025	80.5%	94.3%	99.7%	-

For current crop

Source: Company data, J.P. Morgan.

Figure 17: SLC's Soybean Commodity Hedge for Next Crop

%

	Q1	Q2	Q3	Q4
2020	60.0%	61.9%	53.5%	56.7%
2021	22.6%	42.1%	49.3%	68.0%
2022	24.8%	35.0%	47.1%	53.0%
2023	24.0%	37.7%	45.8%	58.1%
2024	21.3%	45.7%	52.2%	67.2%
2025	27.1%	41.1%	48.4%	-

For next crop

Source: Company data, J.P. Morgan.

Figure 18: SLC's Corn Commodity Hedge for Current Crop

%

	Q1	Q2	Q3	Q4
2020	64.7%	69.2%	94.4%	100.0%
2021	74.1%	84.1%	96.7%	99.7%
2022	66.8%	77.3%	93.0%	100.0%
2023	60.4%	70.6%	93.4%	100.0%
2024	37.9%	68.8%	96.4%	100.0%
2025	50.6%	70.1%	96.4%	-

For current crop

Source: Company data, J.P. Morgan.

Figure 19: SLC's Corn Commodity Hedge for Next Crop

%

	Q1	Q2	Q3	Q4
2020	39.9%	44.0%	55.0%	61.9%
2021	36.0%	53.1%	59.9%	63.0%
2022	49.4%	51.9%	51.6%	59.9%
2023	0.0%	31.7%	35.4%	37.4%
2024	0.0%	0.0%	18.0%	35.0%
2025	0.0%	7.3%	18.6%	-

For next crop

Source: Company data, J.P. Morgan.

Figure 20: SLC's Cotton Commodity Hedge for Current Crop

%

	Q1	Q2	Q3	Q4
2020	74.0%	87.9%	96.7%	98.7%
2021	72.0%	74.4%	97.3%	95.8%
2022	73.6%	86.2%	83.0%	84.8%
2023	61.3%	64.5%	76.2%	99.2%
2024	50.7%	58.8%	85.8%	91.8%
2025	49.6%	56.2%	63.0%	-

For current crop

Source: Company data, J.P. Morgan.

Figure 21: SLC's Cotton Commodity Hedge for Next Crop

%

	Q1	Q2	Q3	Q4
2020	35.0%	59.8%	66.6%	71.6%
2021	37.8%	60.2%	65.4%	69.5%
2022	36.7%	37.5%	57.9%	61.4%
2023	1.4%	3.6%	13.5%	40.2%
2024	1.1%	9.7%	44.0%	49.1%
2025	7.0%	25.0%	27.2%	-

For next crop

Source: Company data, J.P. Morgan.

Price Performance



	YTD	1m	3m	12m
Abs	-5.2%	4.7%	-6.0%	-5.3%
Rel	-37.4%	-3.2%	-18.7%	-33.0%

Company Data

Shares O/S (mn)	443
52-week range (R\$)	21.00-15.57
Market cap (\$ mn)	1,373.74
Exchange rate	5.35
Free float (%)	39.2%
3M ADV (mn)	1.77
3M ADV (\$ mn)	5.5
Volatility (90 Day)	17
Index	Ibovespa
BBG ANR (Buy Hold Sell)	4 10 0

Key Metrics (FYE Dec)

R\$ in millions	FY24A	FY25E	FY26E	FY27E
Financial Estimates				
Revenue	6,916	7,622	8,761	8,176
Adj. EBITDA	2,037	2,606	2,908	3,101
Adj. EBIT	1,751	1,797	1,978	2,167
Adj. net income	719	708	799	913
Adj. EPS	1.62	1.60	1.80	2.06
BBG EPS	1.50	1.82	1.80	2.06
Cashflow from operations	1,481	1,427	1,048	1,970
FCFF	(16)	(559)	292	1,852
Margins and Growth				
Revenue Growth Y/Y (%)	(4.4%)	10.2%	15.0%	(6.7%)
Same Store Sales Growth (%)	-	-	-	-
Gross margin	-	-	-	-
EBITDA margin	29.5%	34.2%	33.2%	37.9%
EBITDA Growth Y/Y (%)	(24.8%)	27.9%	11.6%	6.6%
EBIT margin	25.3%	23.6%	22.6%	26.5%
Net margin	10.4%	9.3%	9.1%	11.2%
Adj. EPS growth	(53.8%)	(1.6%)	12.9%	14.2%
Ratios				
Net debt/EBITDA	1.9	2.1	2.2	2.0
ROIC	-	-	-	-
ROE	15.4%	16.7%	17.7%	19.1%
Valuation				
FCFF yield	(0.2%)	(7.6%)	4.0%	25.2%
Dividend yield	5.8%	2.4%	2.7%	6.2%
EV/Revenue	1.7	1.6	1.6	1.6
EV/EBITDA	5.8	4.6	4.8	4.3
Adj. P/E	10.2	10.4	9.2	8.1

Summary Investment Thesis and Valuation

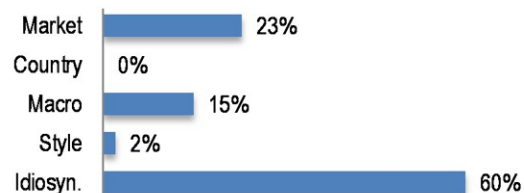
Investment Thesis

SLC Agricola, a prominent Brazilian agribusiness company, excels in large-scale production of cotton, soybeans, and corn. We rate SLC as Neutral (N) because we believe that the improving prospects for the upcoming 2025/26 harvest season are already reflected in the current stock price, while persistently weak commodity prices could exert some pressure on margins. Despite these challenges, we remain impressed by the company's strong execution and growth strategy, which positions it well for long-term success, in our view.

Valuation

Our price target for December 2026 is determined by equally weighting a 10-year Discounted Cash Flow (DCF) analysis and a 2026e Enterprise Value to EBITDA (EV/EBITDA) target, based on a conservative 5.5x fair multiple, which is below the historical average of 6.0x.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI EM Latam	0.13	0.42
Country: Brazil	0.25	-0.04
Macro:		
HSI Volatility Index	0.55	0.40
JP Morgan GBI-EM Global Div	-0.33	0.20
JP Morgan EMBI Global Spread	0.42	0.20
Quant Styles:		
Growth	0.08	-0.20
Size	-0.15	-0.18
DivYld	-0.27	-0.15

Investment Thesis, Valuation and Risks

SLC Agricola *(Neutral; Price Target: R\$19.00)*

Investment Thesis

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Our price target for December 2026 is determined by equally weighting a 10-year Discounted Cash Flow (DCF) analysis and a 2026e Enterprise Value to EBITDA (EV/EBITDA) target, based on a conservative 5.5x fair multiple, which is below the historical average of 6.0x.

Risks to Rating and Price Target

- **Commodity price fluctuations.** For every 10% decrease/increase in soy, corn, or cotton prices, SLC's EBITDA could decrease/increase by 13% (ex-hedges), according to our estimates. Global commodity prices are influenced by a myriad of factors, primarily changes in supply and demand dynamics. Unexpected increases in supply or decreases in demand can lead to downside risks, while the opposite can present upside potential to our forecasts.
- **Currency risk.** Almost 100% of SLC's revenues are USD denominated, while only 60% of the costs are aligned with the USD. Consequently, every 10% appreciation/depreciation of the BRL/USD exchange rate could decrease/increase EBITDA by approximately 6%. This currency mismatch exposes SLC to significant foreign exchange risk, which could impact profitability if not effectively managed through hedging strategies or operational adjustments.
- **Weather-related risks.** Crop yields are highly sensitive to weather variations. Deviations in rainfall from the norm, particularly in less stable regions such as MATOPIBA, can significantly affect agricultural output. Below-average rainfall could lead to reduced yields and profitability, while normal or above-average rainfall could enhance yields, presenting an upside risk. Climate change and its impact on weather patterns add an additional layer of uncertainty to agricultural production.
- **Regulatory and trade barrier risks.** SLC Agricola is subject to a complex landscape of agricultural policies, environmental regulations, and trade agreements both domestically and internationally. Changes in these regulations can impact operational costs and market access. Additionally, the imposition of tariffs, trade restrictions, or geopolitical tensions could limit the company's ability to access key export markets, affecting sales volumes and revenue growth.
- **Input cost and technological risks.** The variability in the cost of key agricultural inputs, such as fertilizers, pesticides, and seeds, may pose a risk to SLC's margins. These costs can fluctuate due to supply chain disruptions, changes in global demand, or geopolitical factors, not necessarily linked with grains prices. Additionally, the company's ability to adopt and integrate new agricultural technologies and practices is crucial for maintaining productivity and cost efficiency.

SLC Agricola: Summary of Financials

Income Statement						Cash Flow Statement					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Revenue	7,231	6,916	7,622	8,761	8,176	Cash flow from operating activities	1,803	1,481	1,427	1,048	1,970
COGS	(4,361)	(4,322)	(4,165)	(4,906)	(4,154)	o/w Depreciation & amortization	220	286	257	286	286
Gross profit						o/w Changes in working capital	(1,011)	(825)	187	(402)	383
SG&A	(698)	(786)	(852)	(948)	(921)	Cash flow from investing activities	(1,640)	(1,636)	(2,892)	(1,779)	(1,165)
Adj. EBITDA	2,709	2,037	2,606	2,908	3,101	o/w Capital expenditure	(1,025)	(1,100)	(2,340)	(1,135)	(517)
D&A	(220)	(286)	(809)	(930)	(934)	as % of sales	14.2%	15.9%	30.7%	13.0%	6.3%
Adj. EBIT	2,489	1,751	1,797	1,978	2,167	Cash flow from financing activities	144	349	1,030	1,130	(1,207)
Net Interest	(454)	(517)	(648)	(757)	(819)	o/w Dividends paid	(629)	(424)	(177)	(200)	(456)
Adj. PBT	1,778	752	853	946	1,092	o/w Shares issued/(repurchased)	(194)	(3)	0	0	0
Tax	(286)	(32)	(145)	(147)	(180)	o/w Net debt issued/(repaid)	967	775	1,207	1,330	(751)
Minority Interest	0	0	0	0	0	Net change in cash	307	193	(434)	399	(402)
Adj. Net Income	1,492	719	708	799	913	Adj. Free cash flow to firm	(210)	(16)	(559)	292	1,852
Reported EPS	2.28	1.09	1.60	1.80	2.06						
Adj. EPS	3.51	1.62	1.60	1.80	2.06						
DPS	1.48	0.96	0.40	0.45	1.03						
Payout ratio	65.0%	88.0%	25.0%	25.0%	50.0%						
Shares outstanding	425	443	443	443	443						
Balance Sheet						Ratio Analysis					
	FY23A	FY24A	FY25E	FY26E	FY27E		FY23A	FY24A	FY25E	FY26E	FY27E
Cash and cash equivalents	1,614	1,980	1,545	1,944	1,542	Gross margin	-	-	-	-	-
Accounts receivable	144	608	334	384	358	EBITDA margin	37.5%	29.5%	34.2%	33.2%	37.9%
Inventories	3,656	3,781	3,520	4,147	3,512	EBIT margin	34.4%	25.3%	23.6%	22.6%	26.5%
Other current assets	1,954	2,022	2,022	2,022	2,022	Net profit margin	20.6%	10.4%	9.3%	9.1%	11.2%
Current assets	7,367	8,390	7,422	8,497	7,434	ROE	29.4%	15.4%	16.7%	17.7%	19.1%
PP&E	4,121	5,108	7,190	8,039	8,270	ROA	9.7%	4.3%	3.9%	4.1%	4.6%
LT investments	431	59	59	59	59	ROCE	22.2%	16.8%	14.0%	13.7%	14.2%
Other non current assets	3,937	4,018	3,915	3,712	3,507	SG&A/Sales	9.6%	11.4%	11.2%	10.8%	11.3%
Total assets	15,856	17,574	18,585	20,307	19,270	Net debt/Equity	0.6	0.9	1.3	1.4	1.2
Short term borrowings	1,712	1,934	2,292	2,675	2,432	Net debt/EBITDA	1.1	1.9	2.1	2.2	2.0
Payables	1,258	1,888	1,541	1,816	1,538	Sales/Assets (x)	0.5	0.4	0.4	0.5	0.4
Other short term liabilities	1,070	2,323	2,323	2,323	2,323	Assets/Equity (x)	3.0	3.6	4.3	4.3	4.2
Current liabilities	4,040	6,146	6,156	6,814	6,293	Interest cover (x)	6.0	3.9	4.0	3.8	3.8
Long-term debt	2,980	3,913	4,764	5,692	5,166	Operating leverage	794.9%	681.2%	25.6%	67.5%	(143.1%)
Other long term liabilities	3,594	3,411	3,319	3,132	2,945	Tax rate	16.1%	4.3%	17.0%	15.6%	16.4%
Total liabilities	10,614	13,470	14,239	15,638	14,403	Revenue y/y Growth	(1.9%)	(4.4%)	10.2%	15.0%	(6.7%)
Shareholders' equity	5,242	4,105	4,346	4,669	4,867	EBITDA y/y Growth	(13.1%)	(24.8%)	27.9%	11.6%	6.6%
Minority interests	0	0	0	0	0	EPS y/y Growth	(15.8%)	(53.8%)	(1.6%)	12.9%	14.2%
Total liabilities & equity	15,856	17,574	18,585	20,307	19,270						
BVPS	12.34	9.26	9.80	10.53	10.98	Valuation					
y/y Growth	7.1%	(25.0%)	5.9%	7.4%	4.3%		FY23A	FY24A	FY25E	FY26E	FY27E
Net debt/(cash)	3,078	3,868	5,510	6,422	6,055	P/E (x)	4.7	10.2	10.4	9.2	8.1
						P/BV (x)	1.3	1.8	1.7	1.6	1.5
						EV/EBITDA (x)	3.9	5.8	4.6	4.8	4.3
						Dividend Yield	8.9%	5.8%	2.4%	2.7%	6.2%

Source: Company reports and J.P. Morgan estimates.

Note: R\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

▼ Neutral

Previous: Overweight

SMT03.SA, SMT03.BZ

Price (28 Nov 25): R\$13.97

▼ **Price Target (Dec-26): R\$17.00**

Prior (Dec-26): R\$30.00

LatAm Food & Beverages and Agribusiness

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Banco J.P. Morgan S.A.

Key Changes (FYE Mar)

	Prev	Cur	Δ%
Revenue - 26E (R\$ mn)	7,703	7,007	-9.0
Revenue - 27E (R\$ mn)	7,743	6,508	-15.9

Quarterly Forecasts (FYE Mar)

Revenue (R\$ mn)	2025A	2026E	2027E
Q1	1,655		
Q2	1,960		
Q3	1,845		
Q4	1,739		
FY	7,199	7,007	6,508

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	47	50	55	28	48
Growth	81	75	95	61	79
Momentum	87	85	76	83	14
Quality	74	40	49	39	65
Low Vol	51	48	41	26	71

Sao Martinho

We are downgrading Sao Martinho (SMT0) to Neutral (from Overweight) and significantly decreasing our TP to R\$17/share (from previous Dec-26 TP of R\$30/share) to reflect recent operational developments and more challenging market dynamics. The outlook for 2026 remains challenging, with rising ethanol supply expected to pressure prices and sugar price volatility continuing to weigh on investor sentiment. Overall, while its strategic expansion projects and cost discipline provide a solid foundation for long-term value creation, SMT0 should keep facing near-term margin pressure. Hence, we are decreasing our key estimates, including R\$2.9bn in adjusted EBITDA for FY2027, 23% lower than consensus and 19% lower than our previous estimate. In terms of multiples, ex-growth, we see the stock trading at 1% fcf yld FY2027 and 7% FY2028, or 3.9x EV/EBITDA fwd, versus our estimated fair multiple of 4.0x. That said, in a high-rate, appreciating FX environment with weak momentum from both key commodities, we see little appetite from investors to look at ex-growth multiples, and would move to the sidelines for now.

Updating Estimates

- **Operational Outlook: We now estimate total crushing volume for FY2027 at 23 mtons**, assuming agricultural productivity improves by 10%, as noted by management in the company's most recent conference call. Our base case assumes ATR rising from 138 to 140, and a maintained mix of 50% sugar in the short term, increasing to 52% in perpetuity due to fiscal benefits. We model sugar prices at R\$2,100/ton (with potential upside to R\$2,300/ton) and ethanol prices at R\$2,400/m3 for 2026, with the company expecting flat or slightly higher ethanol prices year-over-year, which we do not incorporate at this point. The shift towards more anhydrous ethanol production, which commands a premium, and the full implementation of E30 could help support margins. Cost efficiency remains a key focus, with cash cost per ton of ATR projected to decline 7% y/y in FY2026 and 13% in FY2027.
- **Financial Outlook: we expect free cash flow generation to remain constrained until 2027**, as ongoing investments and elevated capex absorb much of the operating cash flow. For FY2027, we forecast EBITDA breakeven at R\$3,350mn, with capex at approximately R\$2,600mn, cash financial result at R\$700mn, neutral working capital and an effective tax rate of 10%. In other words, with an EBITDA estimate of R\$2.9bn in FY2027, we still see the company consuming cash next year. There could be some upside, however, of approximately R\$150 million in credit monetization for 2026 and 2027, which we do not include at this point. In this context, dividend capacity is likely to remain limited in the near term, but could improve as expansion projects are completed and operational efficiencies are realized.

Figure 22: SMTO New vs Old, JPM vs Consensus

New				Old			New vs Old			Consensus		JPM vs BBG		
INCOME STATEMENT		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2026E	2027E
Revenue	R\$M	7,007	6,508	7,478	7,703	7,743	8,243	-9%	-16%	-9%	7,901	8,142	-11%	-20%
Cash COGS		-3,013	-3,032	-3,432	-3,404	-3,547	-3,656	-11%	-15%	-6%				
SG&A		-590	-610	-663	-657	-674	-712	-10%	-10%	-7%				
EBITDA Adj.		3,208	2,866	3,383	3,642	3,522	3,875	-12%	-19%	-13%	3,674	3,728	-13%	-23%
EBITDA Margin	%	45.8%	44.0%	45.2%	47.3%	45.5%	47.0%	-150	-145	-178				
Depreciation & Amortization		-2,202	-2,000	-2,069	-2,118	-2,221	-2,323	4%	-10%	-11%				
EBIT		1,146	866	1,313	1,524	1,301	1,552	-25%	-33%	-15%				
Net Fin'l Result		-647	-818	-684	-727	-591	-509	-11%	38%	34%				
FX and Monetary		-103	42	2	4	-3	-4							
EBT		396	90	631	800	707	1,039	-51%	-87%	-39%				
Taxes		14	-9	-91	-56	-177	-260	-95%	-95%	-65%				
Net Income		410	81	541	744	530	779	-45%	-85%	-31%	576	612	-29%	-87%
BALANCE SHEET		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
Net Debt	R\$M	6,105	6,768	6,609	4,792	4,568	4,090	27%	48%	62%				
ND/EBITDA (LTM)		1.9	2.4	2.0	1.3	1.3	1.1	45%	82%	85%				
WORKING CAPITAL		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
Decrease (Increase) in WK	R\$M	400	19	-231	144	-9	-38	178%		504%				
Cash Flow		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
EBITDA	R\$M	3,208	2,866	3,383	3,642	3,522	3,875	-12%	-19%	-13%				
(-) Net Financial Expenses		-647	-818	-684	-727	-591	-509	-11%	38%	34%				
(-) Cash Taxes		-24	-9	-91	-56	-177	-260	-57%	-95%	-65%				
(-) Decrease (Increase) in WK		400	19	-231	144	-9	-38	178%		504%				
(-) Capex		-2,837	-2,600	-2,179	-2,359	-2,219	-2,321	20%	17%	-6%				
(=) FCFE		100	-541	197	644	525	747	-84%		-74%				
REVENUE Breakdown		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
Sugar	R\$M	3,538	3,146	3,551	3,936	4,057	4,376	-10%	-22%	-19%				
Cane ethanol		2,454	2,208	2,317	2,480	2,394	2,528	-1%	-8%	-8%				
VOLUME Breakdown		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
Sugar	kt	1,438	1,533	1,634	1,558	1,635	1,638	-8%	-6%	0%				
Ethanol	km3	890	1,133	1,256	1,103	1,119	1,120	-19%	1%	12%				
AVERAGE PRICES		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
Sugar	R\$/t	2,460	2,052	2,173	2,527	2,481	2,672	-3%	-17%	-19%				
Realized Price	\$c/lb	20.1	16.9	17.7	19.7	19.7	21.0	2%	-14%	-16%				
TRS Price per ton	R\$/t	2,610	2,217	2,345	2,410	2,396	2,554	8%	-7%	-8%				
Hydrous Ethanol	R\$/m3	2,544	1,985	2,163	2,539	2,407	2,537	0%	-18%	-15%				
Energy	R\$/MW	268	268	268	268	268	268	0%	0%	0%				
EBITDA Breakdown		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
EBITDA Adj.	R\$M	3,208	2,866	3,383	3,642	3,522	3,875	-12%	-19%	-13%				
Sugar		1,818	1,512	1,753	1,782	1,752	1,909	2%	-14%	-8%				
Ethanol		996	821	912	969	874	964	3%	-6%	-5%				
EBITDA Margin		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
EBITDA Margin	%	45.8%	44.0%	45.2%	47.3%	45.5%	47.0%	-150	-145	-178				
Sugar		51.4%	48.1%	49.4%	45.3%	43.2%	43.6%	613	486	573				
Ethanol		40.6%	37.2%	39.4%	39.1%	36.5%	38.1%	150	66	126				
KEY COMMODITY PRICES		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
Sugar	\$c/lb	17.0	16.1	17.0	18.2	18.9	20.1	-6%	-15%	-16%				
Hydrous Ethanol	R\$/m3	2,686	1,907	2,078	2,539	2,407	2,537	6%	-21%	-18%				
Anhydrous Ethanol	R\$/m3	3,067	2,166	2,360	2,908	2,737	2,886	5%	-21%	-18%				
MACRO		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E				
BRL avg		5.54	5.48	5.58	5.70	5.73	5.78	-3%	-4%	-4%				
BRL eop		5.40	5.55	5.60	5.70	5.75	5.82	-5%	-3%	-4%				

Source: J.P. Morgan estimates, Company data., Bloomberg Finance L.P.

Commodity Views

We remain cautiously constructive on sugar and consider an average 2026 price of \$c 16/lb. While the 2025/26 season saw prices under pressure - falling to five-year lows near 14.8 c/lb - our base case is for a more balanced global supply-demand dynamic in 2026/27, with prices recovering toward the 16–17 c/lb range in 2026, with upside risk to 18.5 c/lb should supply disappointments materialize. The Brazilian Center South crop remains a key swing factor: for next season (2026/27), Tracey forecasts 610 mtons. Globally, while India and Thailand are both forecast to maintain elevated output, the risk of production disappointments remains, especially given recent disease pressures in Thailand and the volatility of Indian export policy. With global stocks-to-use ratios projected to remain near multi-year lows, any supply-side shock could quickly tighten the market. Additionally, the sugar-ethanol parity remains compressed, which may incentivize a higher ethanol mix in Brazil and further limit sugar output. Overall, we see the risk-reward for sugar prices as skewed to the upside for 2026/27.

From Tracey Allen's 2026/27 Agri Markets Outlook: *The negative price performance of ICE #11 Sugar has been at odds with our reasonably balanced S&D outlook through much of 2H25, collapsing over -26% YTD to five-year lows near 14 USc/lb. Not only is this level at least -1.5 USc/bu below the marginal cost of production of the most efficient mills in Brazil's Centre/South, it is at least -3.5 USc/lb below the marginal cost of production of a representative mill. Producers have already scaled back fertilizer applications and crop inputs, alongside replanting, which will weigh on next season's production, while Thai farmers are likely to switch land back to the more remunerative cassava crop. Our average ICE #11 Sugar price forecast for 2026 has declined by -9% from September to an average of 16.1 USc/lb, finishing 4Q26 at an average of 17 USc/lb, with an average price forecast through 2027 of 17 USc/lb. While our risk bias to the forecast is bullish, Brazil's General Election scheduled for 4-25 October 2026 may yet weigh further on domestic fuel prices, potentially adding incremental pressure to ethanol and sugar prices.*

Our outlook for ethanol in 2026/27 is increasingly more cautious, as we anticipate growing supply-demand imbalances driven by (i) the continued expansion of corn ethanol production in Brazil and (ii) the upside risk in sugarcane ethanol production coming from mix, as the compressed sugar-ethanol parity may prompt more mills to favor ethanol, further exacerbating the supply overhang. Tracey Allen notes that *"ethanol supply in Brazil is widely expected to start the 2026/27 campaign at a much heavier volume and weaker price point relative to 2025/26 amid more abundant corn ethanol availability."* We forecast average prices to remain under pressure, in the R\$2.0–2.4/liter range (at the mill) - while hydrous ethanol remains competitive at the pump in key markets like São Paulo, the risk is that domestic demand growth will not be sufficient to offset the surge in supply. In this context, we see limited upside for ethanol prices and expect the market to remain well-supplied, with the potential for further price weakness if demand fails to keep pace with expanding production capacity.

Figure 23: Bullish risk bias for ICE#11 Sugar (16-18.5 USc/lb)

Based on T. Allen & team's latest report, available [here](#)

Risk bias	% from 4Q25 futures to base case Q4 2026f	2026 scenario	Long term z-score	2026 forecast range under risk scenario
ICE #11 Sugar				
			-1.18	
Bearish		a) Sugar consumption growth turns negative b) Strong recovery in C/S Brazil cane and ATR drives up available sucrose for sugar production >40.5 million tonnes c) Domestic sugar prices in India fall, alongside the export parity		13.5 - 15 USc/lb
Bullish	17 USc/lb 14.1%	a) Expected 2025/26 season surplus fails to materialize following production cuts in Asia b) Strong ethanol demand in Brazil keeps the parity above 15 USc/lb through the season c) Importer restocking demand led by Indonesia and China tightens projected trade surpluses through 2H 26		16 - 18.5 USc/lb

Source: J.P. Morgan Commodities Research.

Figure 24: The Centre/South Brazil mix is projected to swing towards ethanol in 2026/2

Based on T. Allen & team's latest report, available [here](#)

Apr/Mar (Million metric tonnes tq, billion L, kg/t, %)

	2013/14	2014/15	2015/16	2016/17	2017/18	2018/19	2019/20	2020/21	2021/22	2022/23	2023/24	2024/25	JPMC 2025/26f	JPMC 2026/27f	JPMC 2027/28f
Cane crushed	597.1	571.3	618.0	607	596	573	590	605	523	548	654	622	600	610	600
ATR/tonne of cane	133.3	136.6	130.5	133.0	136.6	137.9	138.6	144.7	142.9	140.8	139.2	141.1	136.5	141.0	141.5
Sugar mix (%)	45.2%	43.0%	40.5%	46.3%	46.5%	35.2%	34.3%	46.1%	45.0%	45.9%	48.9%	48.1%	51.0%	48.5%	49.0%
Sugar (tq)	34.30	31.96	31.17	35.63	36.06	26.50	26.75	38.46	32.07	33.73	42.43	40.17	39.79	39.74	39.63
Total ethanol	25.6	26.1	28.2	25.6	26.1	31.0	33.3	30.4	27.6	28.9	33.6	35.0	33.5	38.0	39.0
Ethanol mix (%)	54.8%	57.0%	59.5%	53.7%	53.5%	64.8%	65.7%	53.9%	55.0%	54.1%	51.1%	52.0%	49.0%	51.5%	51.0%

Source: J.P. Morgan Commodities Research.

Price Performance



	YTD	1m	3m	12m
Abs	-39.9%	-2.6%	-21.6%	-44.0%
Rel	-72.1%	-10.5%	-34.4%	-71.6%

Company Data

Shares O/S (mn)	332
52-week range (R\$)	26.86-13.09
Market cap (\$ mn)	867.43
Exchange rate	5.35
Free float (%)	41.6%
3M ADV (mn)	2.17
3M ADV (\$ mn)	6.4
Volatility (90 Day)	30
Index	Ibovespa
BBG ANR (Buy Hold Sell)	6 4 0

Key Metrics (FYE Mar)

R\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	7,199	7,007	6,508	7,478
Adj. EBITDA	3,445	3,208	2,866	3,383
Adj. EBIT	1,571	1,006	866	1,313
Adj. net income	611	270	81	541
Adj. EPS	1.84	0.81	0.24	1.63
BBG EPS	1.97	1.74	1.93	-
Cashflow from operations	3,525	2,975	2,059	2,376
FCFF	(65)	(36)	(82)	(98)
Margins and Growth				
Revenue Growth Y/Y (%)	4.0%	(2.7%)	(7.1%)	14.9%
Same Store Sales Growth (%)	-	-	-	-
Gross margin	0.0%	0.0%	0.0%	0.0%
EBITDA margin	47.9%	45.8%	44.0%	45.2%
EBITDA Growth Y/Y (%)	12.2%	(6.9%)	(10.7%)	18.0%
EBIT margin	21.8%	14.4%	13.3%	17.6%
Net margin	8.5%	3.8%	1.2%	7.2%
Adj. EPS growth	264.4%	(55.8%)	(69.9%)	566.3%
Ratios				
Net debt/EBITDA	1.5	1.9	2.4	2.0
ROIC	-	-	-	-
ROE	9.0%	3.9%	1.1%	7.3%
Valuation				
FCFF yield	(1.4%)	(0.8%)	(1.8%)	(2.1%)
Dividend yield	19.2%	1.3%	3.5%	0.9%
EV/Revenue	0.7	0.9	1.0	0.9
EV/EBITDA	1.5	1.9	2.4	2.0
Adj. P/E	7.6	17.2	57.2	8.6

Summary Investment Thesis and Valuation

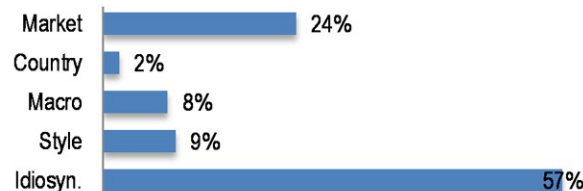
Investment Thesis

São Martinho is a leading Brazilian agribusiness company focused on sugar, ethanol, and bioenergy, recognised for its operational efficiency and disciplined management. We rate SMT03 Neutral, reflecting the company's tight valuation and acknowledging near-term macro headwinds. The rapid expansion of corn ethanol capacity in Brazil is expected to pressure ethanol prices and margins, while sugar price recovery remains uncertain. Despite these challenges, we believe São Martinho's scale and cost discipline position it to navigate volatility and support long-term value creation.

Valuation

Our price target for December 2026 is determined by equally weighting a 10-year Discounted Cash Flow (DCF) analysis and a 2026e Enterprise Value to EBITDA (EV/EBITDA) target, based on a 4.0x multiple.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI EM Latam	0.50	0.49
Country: Brazil	0.25	0.18
Macro:		
US 10 Year Yield	0.28	0.32
JP Morgan GBI-EM Global Div	-0.20	-0.18
HSI Volatility Index	0.24	0.18
Quant Styles:		
Value	0.33	0.29
DivYld	0.01	0.20
Quality	-0.32	-0.18

Investment Thesis, Valuation and Risks

Sao Martinho *(Neutral; Price Target: R\$17.00)*

Investment Thesis

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Risks to Rating and Price Target

- **Sugar Prices and FX:** Weaker global sugar prices and a stronger local currency could negatively impact our earnings estimates. São Martinho uses hedging strategies to mitigate these effects, but these could lead to losses depending on market conditions.
- **Ethanol Prices:** Ethanol prices in Brazil are closely tied to gasoline prices and parity. A decline in global oil prices could pose a downside risk to our ethanol price projections in Brazil, affecting overall profitability.
- **Weather Conditions:** Climate variations can significantly impact the company's yields and its ability to harvest sugarcane, presenting a downside risk to earnings. The company's production is inherently dependent on unpredictable weather conditions.
- **Removal of the "Produzir" Tax Benefit:** The benefit, estimated at R\$120 million annually, could be at risk under current tax reform discussions. Its removal could impact earnings by R\$3.3/share, assuming no compensatory measures are implemented.
- **Government Influence on Gasoline Prices:** Recent changes in Petrobras management suggest the government may influence fuel prices. If gasoline prices are capped or reduced, this could introduce additional downside risk to our ethanol price forecasts.

Sao Martinho: Summary of Financials

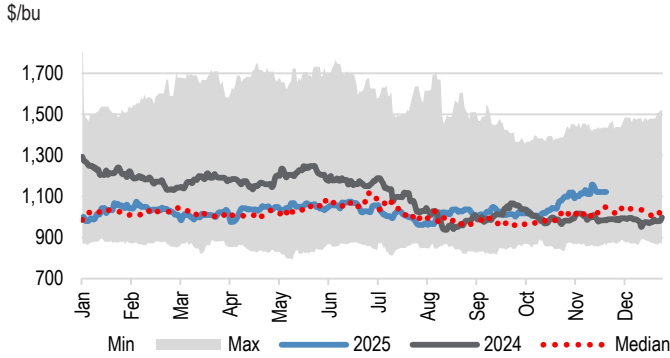
Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	6,922	7,199	7,007	6,508	7,478	Cash flow from operating activities	2,446	3,525	2,975	2,059	2,376
COGS	(3,506)	(3,494)	(3,013)	(3,032)	(3,432)	o/w Depreciation & amortization	1,840	1,874	2,202	2,000	2,069
Gross profit	0	0	0	0	0	o/w Changes in working capital	(1,313)	350	400	19	(231)
SG&A	(599)	(603)	(590)	(610)	(663)	Cash flow from investing activities	(2,485)	(2,688)	(2,837)	(2,600)	(2,179)
Adj. EBITDA	3,070	3,445	3,208	2,866	3,383	o/w Capital expenditure	(2,485)	(2,688)	(2,837)	(2,600)	(2,179)
D&A	(1,840)	(1,874)	(2,202)	(2,000)	(2,069)	as % of sales	35.9%	37.3%	40.5%	40.0%	29.1%
Adj. EBIT	1,230	1,571	1,006	866	1,313	Cash flow from financing activities	(658)	457	3,056	(3,683)	887
Net Interest	(605)	(672)	(647)	(818)	(684)	o/w Dividends paid	(419)	(910)	(61)	(164)	(41)
Adj. PBT	485	557	255	90	631	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	(310)	54	14	(9)	(91)	o/w Net debt issued/(repaid)	(239)	1,366	3,117	(3,519)	927
Minority Interest	0	0	0	0	0	Net change in cash	(697)	1,294	3,194	(4,224)	1,084
Adj. Net Income	175	611	270	81	541	Adj. Free cash flow to firm	0	(65)	(36)	(82)	(98)
Reported EPS	5.75	3.26	1.23	0.24	1.63						
Adj. EPS	0.50	1.84	0.81	0.24	1.63						
DPS	1.24	2.69	0.18	0.48	0.12						
Payout ratio	21.5%	82.4%	14.6%	198.6%	7.4%						
Shares outstanding	346	332	332	332	332						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	3,151	3,083	5,047	864	1,951	Gross margin	0.0%	0.0%	0.0%	0.0%	0.0%
Accounts receivable	666	477	392	364	419	EBITDA margin	44.4%	47.9%	45.8%	44.0%	45.2%
Inventories	609	743	1,692	1,703	1,928	EBIT margin	17.8%	21.8%	14.4%	13.3%	17.6%
Other current assets	1,803	2,002	2,169	2,169	2,169	Net profit margin	2.5%	8.5%	3.8%	1.2%	7.2%
Current assets	6,229	6,305	9,300	5,101	6,466	ROE	2.7%	9.0%	3.9%	1.1%	7.3%
PP&E	8,043	8,708	8,897	9,497	9,607	ROA	0.9%	2.9%	1.2%	0.4%	2.5%
LT investments	0	0	0	0	0	ROCE	3.3%	9.9%	5.7%	4.7%	7.3%
Other non current assets	6,097	6,756	6,595	6,595	6,595	SG&A/Sales	8.6%	8.4%	8.4%	9.4%	8.9%
Total assets	20,369	21,769	24,793	21,193	22,668	Net debt/Equity	0.5	0.8	0.8	0.9	0.9
Short term borrowings	1,255	1,113	1,535	1,050	1,178	Net debt/EBITDA	1.2	1.5	1.9	2.4	2.0
Payables	415	405	359	362	409	Sales/Assets (x)	0.4	0.3	0.3	0.3	0.3
Other short term liabilities	1,164	1,072	963	963	963	Assets/Equity (x)	3.1	3.1	3.3	3.2	3.0
Current liabilities	2,833	2,590	2,857	2,375	2,550	Interest cover (x)	5.1	5.1	5.0	3.5	4.9
Long-term debt	5,454	7,235	9,617	6,582	7,382	Operating leverage	8.8%	694.5%	1346.5%	195.5%	346.8%
Other long term liabilities	5,201	5,245	5,102	5,102	5,102	Tax rate	64.0%	9.7%	5.6%	10.0%	14.4%
Total liabilities	13,488	15,070	17,576	14,059	15,034	Revenue y/y Growth	4.2%	4.0%	(2.7%)	(7.1%)	14.9%
Shareholders' equity	6,881	6,699	7,217	7,134	7,634	EBITDA y/y Growth	(8.5%)	12.2%	(6.9%)	(10.7%)	18.0%
Minority interests	0	0	0	0	0	EPS y/y Growth	8.5%	264.4%	(55.8%)	(69.9%)	566.3%
Total liabilities & equity	20,369	21,770	24,793	21,193	22,668						
BVPS	20.34	19.81	21.34	21.09	22.57	Valuation					
y/y Growth	16.4%	(2.6%)	7.7%	(1.1%)	7.0%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	3,558	5,265	6,105	6,768	6,609	P/E (x)	27.7	7.6	17.2	57.2	8.6
						P/BV (x)	0.7	0.7	0.7	0.7	0.6
						EV/EBITDA (x)	1.2	1.5	1.9	2.4	2.0
						Dividend Yield	8.9%	19.2%	1.3%	3.5%	0.9%

Source: Company reports and J.P. Morgan estimates.

Note: R\$ in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

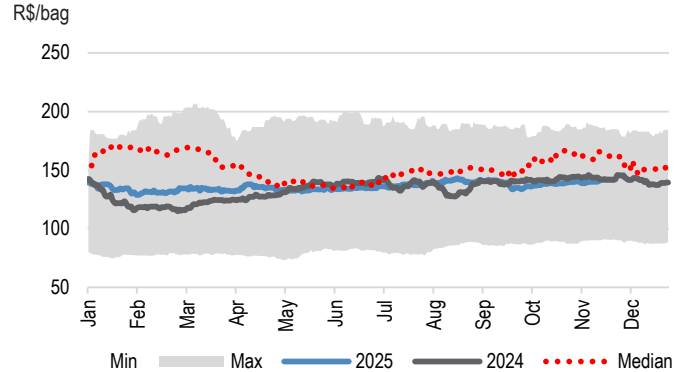
Soybeans: Key Charts

Figure 25: Soybean Prices (CBOT)



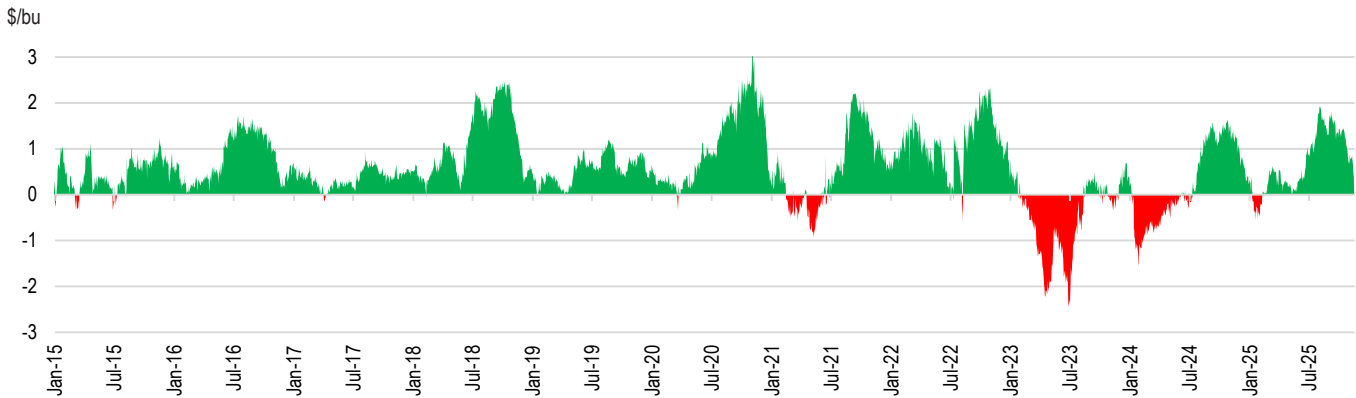
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 26: Soybean Prices Brazil (Paranagua)



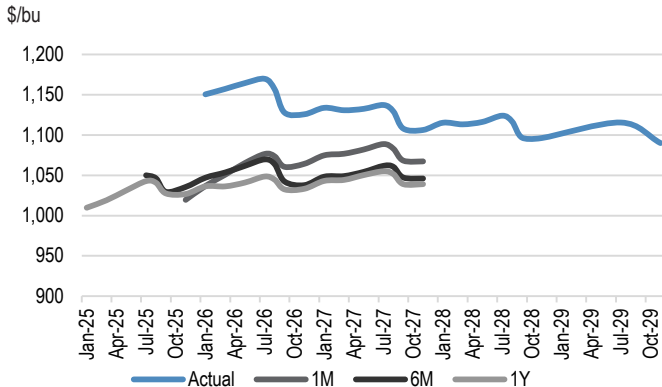
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 27: Soybean Basis (Brazil - CBOT)



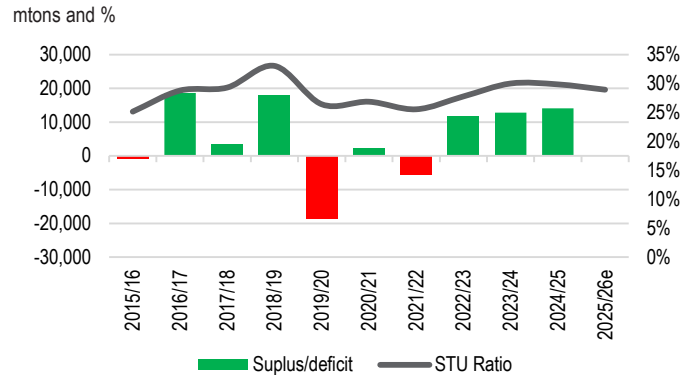
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 28: Soybean Futures Curve (CBOT)



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 29: Soybean Global Balance and Stock to Use Ratio



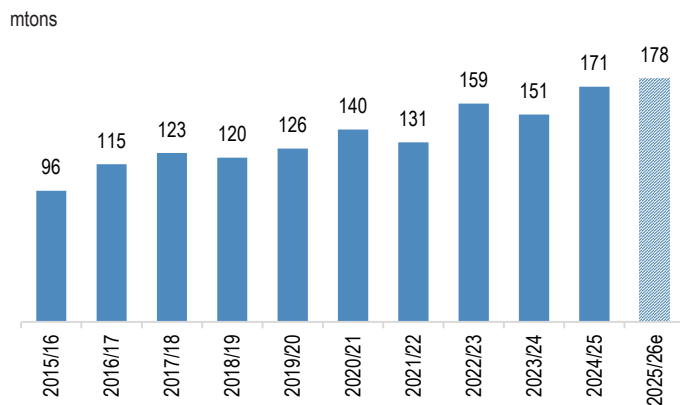
Source: USDA, J.P. Morgan

Figure 30: Global Soybean Supply & Demand

mtons														
Soybean														
Production	2015/2016	2016/2017	2017/2018	2018/2019	2019/2020	2020/2021	2021/2022	2022/2023	2023/2024	2024/2025	2025/2026 USDAe	y/y	2025/2026 JPMe	y/y
Brazil	95,700	114,900	123,400	120,500	128,500	139,500	130,500	162,000	154,500	171,500	175,000	2.0%	176,400	2.9%
United States	106,869	116,931	120,065	120,515	96,644	114,749	121,504	116,221	113,273	119,047	115,751	-2.8%	114,434	-3.9%
Others	33,041	40,346	37,178	42,325	39,139	39,933	44,056	44,605	48,536	54,631	50,497	-7.6%	-	-
Argentina	58,800	55,000	37,800	55,300	48,800	46,200	43,900	25,000	48,210	51,108	48,500	-5.1%	47,850	-4.4%
China	12,367	13,596	15,283	15,967	18,092	19,602	16,395	20,284	20,840	20,650	21,000	1.7%	21,000	1.7%
Paraguay	9,295	10,032	9,906	8,844	10,553	9,642	4,183	10,250	11,000	10,200	11,000	7.8%	11,000	7.8%
Imports														
China	83,230	93,495	94,093	82,537	98,532	99,740	90,297	104,500	112,000	108,000	112,000	3.7%	112,000	3.7%
Others	29,317	30,498	33,065	33,099	36,338	37,359	35,119	33,380	35,403	39,315	41,014	4.3%	-	-
European Union	15,120	12,742	13,915	14,346	15,017	14,786	14,545	13,127	13,461	14,600	14,300	-2.1%	14,300	-2.1%
Argentina	676	1,674	4,703	6,408	4,882	4,816	3,839	9,059	7,787	6,324	7,700	21.8%	7,200	13.9%
Mexico	4,126	4,479	5,134	5,933	5,667	6,088	6,397	6,451	6,456	6,700	6,700	4.7%	6,700	4.7%
Egypt	1,575	2,114	3,255	3,600	4,882	3,607	4,566	1,992	3,177	4,500	4,700	4.4%	-	-
Exports														
Brazil	54,383	63,137	76,136	74,887	92,129	81,648	79,063	95,530	104,191	103,143	112,500	9.1%	115,000	11.5%
United States	52,869	58,964	58,071	47,721	45,800	61,664	58,570	53,864	46,206	51,029	44,487	-12.8%	40,823	-20.0%
Others	6,027	7,894	6,110	7,370	7,356	5,783	7,372	7,542	9,426	10,728	9,924	-7.5%	-	-
Argentina	9,922	7,025	2,132	9,104	10,004	5,195	2,861	4,185	5,114	7,868	8,250	4.9%	9,000	14.4%
Paraguay	5,400	6,124	6,029	4,901	6,619	6,330	2,273	7,987	6,800	7,700	7,700	13.2%	7,700	13.2%
Canada	4,236	4,592	4,925	5,239	3,909	4,554	4,289	4,240	4,850	5,448	5,100	-6.4%	-	-
Domestic Consumption														
China	95,900	103,500	106,800	102,600	110,400	114,900	110,300	117,500	121,800	127,400	133,000	4.4%	133,000	4.4%
Others	58,024	64,401	67,866	73,608	75,017	76,455	75,884	76,283	78,282	86,754	87,692	1.1%	-	-
United States	54,475	55,719	58,873	59,924	61,782	61,287	62,893	63,302	65,445	69,458	72,527	4.4%	-	-
Brazil	42,422	43,186	47,040	45,427	49,842	49,875	54,017	57,209	58,255	62,000	63,300	2.1%	62,300	0.5%
Argentina	49,467	49,809	43,633	47,467	46,020	47,512	46,025	36,568	43,833	50,509	48,200	-4.6%	50,800	0.6%
European Union	16,606	15,540	16,070	16,620	17,220	16,970	16,970	15,820	15,995	16,920	16,820	-0.6%	-	-
Ending Stocks														
China	16,643	20,120	22,562	18,350	24,484	28,856	25,146	32,340	43,310	44,488	44,388	-0.2%	45,880	3.1%
Brazil	23,803	32,632	33,031	33,357	20,435	29,427	27,386	36,801	29,722	36,811	36,361	-1.2%	33,781	-8.2%
Argentina	27,156	26,996	23,734	28,871	26,529	24,838	23,691	16,997	24,047	23,102	22,852	-1.1%	19,297	-16.5%
Others	5,179	6,702	7,383	7,149	7,467	7,112	8,269	7,276	7,440	8,781	8,997	2.5%	-	-
United States	5,354	8,208	11,923	25,176	14,657	6,994	7,468	7,190	9,319	8,614	7,885	-8.5%	-	-
European Union	1,559	974	1,111	1,347	1,626	1,455	1,572	1,259	1,283	1,543	1,508	-2.3%	-	-

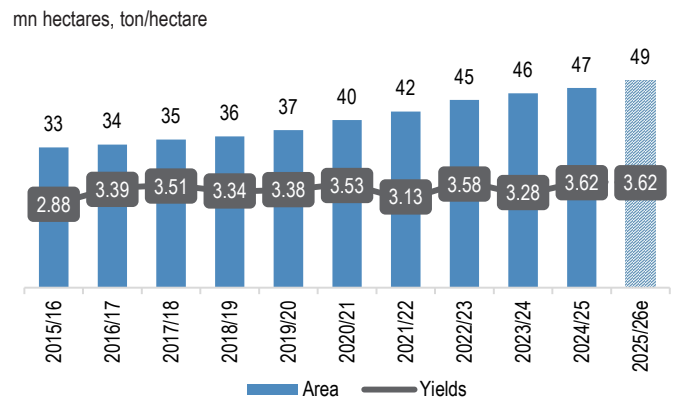
Source: USDA, J.P. Morgan

Figure 31: Brazil Soybean Production (CONAB)



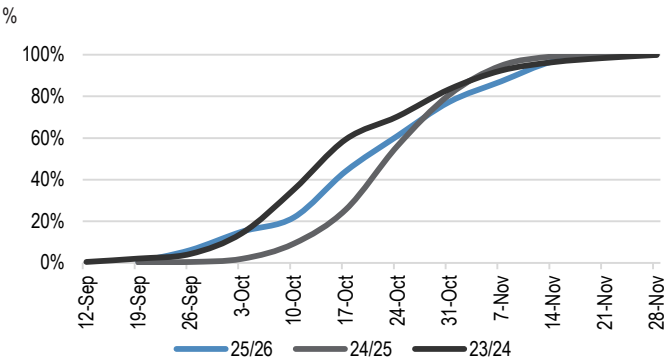
Source: CONAB, J.P. Morgan

Figure 32: Brazil Soybean Area (columns) and Yields (line)



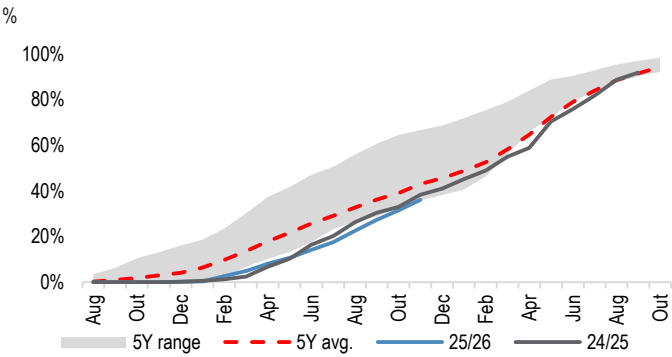
Source: CONAB, J.P. Morgan

Figure 33: Brazil Soybean Planting



Source: IMEA, J.P. Morgan.

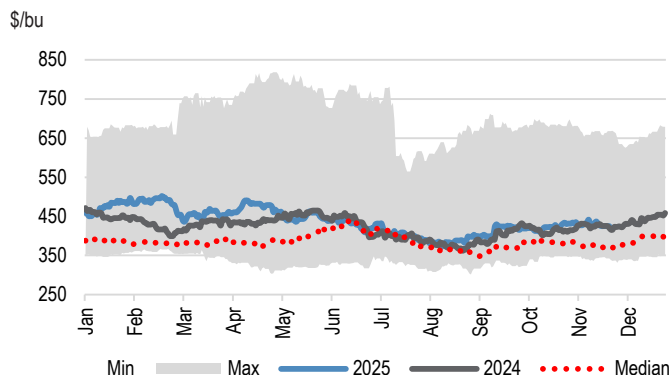
Figure 34: Brazil Soybean Selling Pace



Source: IMEA, J.P. Morgan

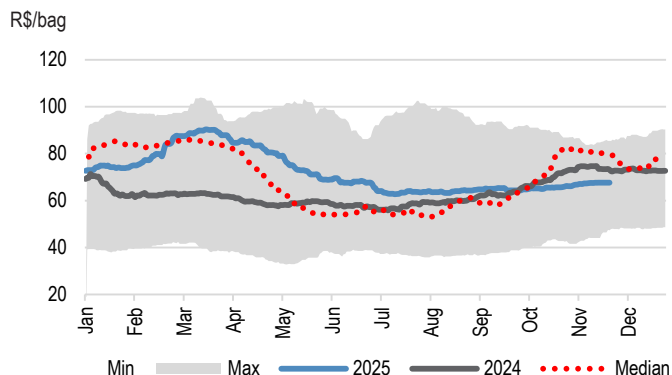
Corn: Key Charts

Figure 35: Corn Prices Chicago



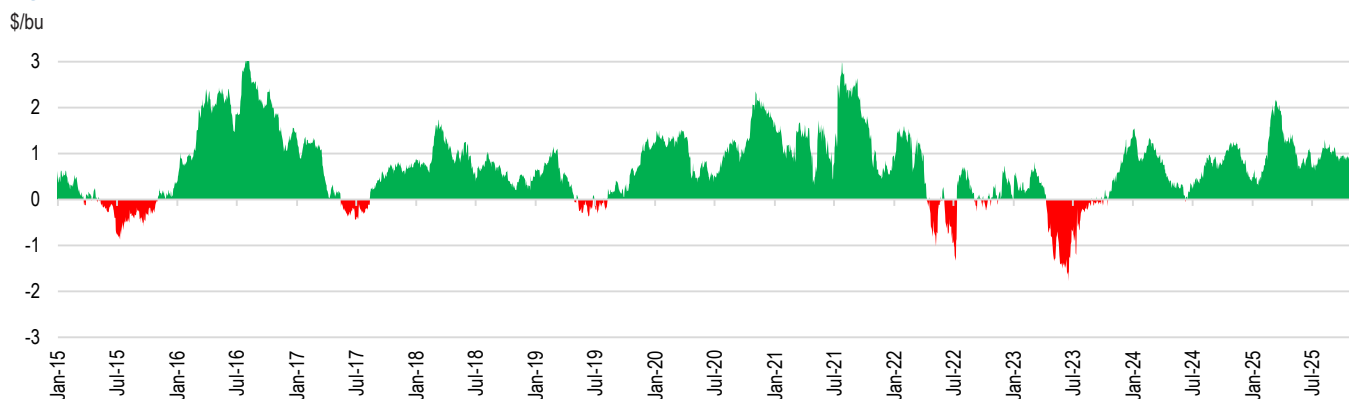
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 36: Corn Prices Brazil (Campinas)



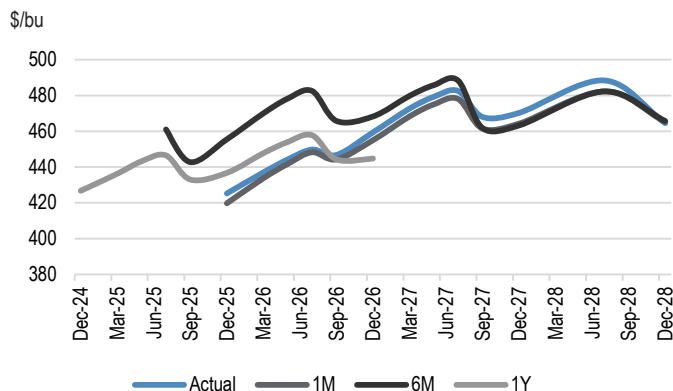
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 37: Corn Basis



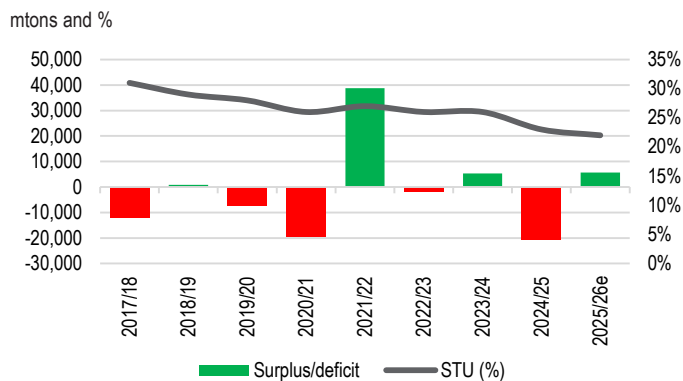
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 38: Corn Futures Curve



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 39: Corn Global Balance and Stock to Use Ratio



Source: USDA, J.P. Morgan

Figure 40: Global Corn Supply & Demand

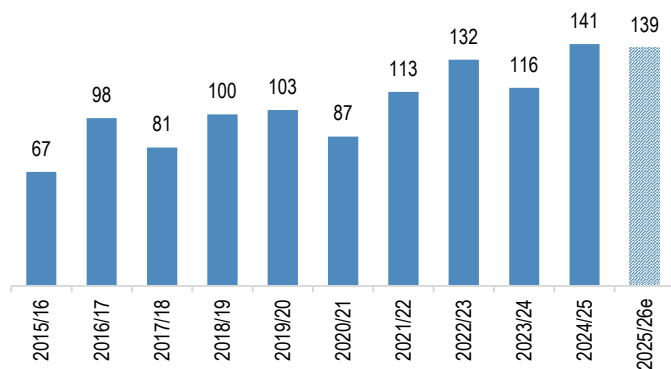
mtons

Corn														
Production	2015/2016	2016/2017	2017/2018	2018/2019	2019/2020	2020/2021	2021/2022	2022/2023	2023/2024	2024/2025	2025/2026 USDAe	y/y	2025/2026 JPMe	y/y
United States	345,506	384,778	371,096	363,787	344,651	357,819	381,469	346,739	389,667	378,268	425,525	12.5%	415,922	10.0%
Others	250,446	278,559	275,796	291,010	299,613	306,510	327,357	315,400	320,602	312,525	325,950	4.3%	-	-
China	264,992	263,613	259,071	257,174	260,779	260,670	272,552	277,200	288,842	294,917	295,000	0.0%	295,000	0.0%
Brazil	67,000	98,500	82,000	101,000	102,000	87,000	116,000	137,000	119,000	136,000	131,000	-3.7%	135,700	-0.2%
European Union	58,748	61,909	62,021	64,351	66,742	67,440	71,672	52,379	61,947	59,024	55,750	-5.5%	-	-
Argentina	34,500	42,000	37,300	55,500	54,500	55,000	52,000	37,000	51,000	50,000	53,000	6.0%	53,000	6.0%
Imports														
Others	78,658	77,087	84,689	89,152	95,291	113,354	111,654	95,077	116,148	100,736	104,518	3.8%	-	-
Mexico	13,957	14,614	16,129	16,658	16,526	16,498	17,584	19,325	24,222	25,500	25,800	1.2%	26,000	2.0%
European Union	14,008	14,253	17,667	23,583	17,388	14,496	19,521	23,188	19,832	18,700	21,000	12.3%	23,000	23.0%
Japan	15,204	15,169	15,668	16,040	15,877	15,471	15,003	14,927	15,290	15,456	15,500	0.3%	15,500	0.3%
Vietnam	8,000	8,100	8,600	10,100	10,600	13,500	9,200	9,800	10,400	12,000	12,800	6.7%	-	-
South Korea	10,121	9,220	10,018	10,845	11,882	11,708	11,510	11,099	11,550	11,442	11,500	0.5%	11,500	-
Exports														
United States	48,228	58,313	61,906	52,538	45,175	69,775	62,802	42,214	57,275	71,885	78,109	8.7%	76,204	6.0%
Brazil	13,996	31,604	24,120	39,663	35,139	20,846	48,183	54,196	38,260	41,000	43,000	4.9%	42,000	2.4%
Argentina	21,653	25,986	22,473	37,244	36,252	40,942	34,692	25,241	36,257	32,000	37,000	15.6%	37,500	17.2%
Ukraine	16,595	21,334	18,036	30,321	28,929	23,864	26,980	27,122	29,488	20,019	24,500	22.4%	25,500	27.4%
Others	15,527	19,034	17,422	20,200	23,012	23,510	29,786	25,716	24,774	20,599	17,862	-13.3%	-	-
Russia	4,691	5,598	5,532	2,770	4,072	3,989	4,000	5,900	6,600	3,000	3,000	0.0%	-	-
Domestic Consumption														
Others	311,179	325,687	340,964	353,421	360,253	368,109	378,153	364,260	386,719	401,758	408,140	1.6%	-	-
United States	298,845	313,785	313,991	309,503	306,450	308,215	315,665	305,931	322,873	312,778	332,247	6.2%	-	-
China	229,000	255,000	263,000	274,000	278,000	285,000	291,000	299,000	307,000	316,000	321,000	1.6%	321,000	1.6%
Brazil	57,500	60,500	63,500	66,500	68,000	70,500	71,500	78,000	84,000	84,500	96,500	2.1%	98,000	3.7%
European Union	73,500	72,900	75,200	85,000	79,000	77,700	81,700	74,700	78,100	76,100	75,300	-1.1%	77,100	1.3%
Mexico	37,000	40,600	42,500	43,500	43,800	44,200	44,300	45,600	47,000	48,800	51,000	4.5%	50,500	3.5%
Ending Stocks														
China	212,017	223,033	222,541	210,179	200,526	205,704	209,137	206,023	211,192	191,928	173,908	-9.4%	-	-
United States	44,123	58,253	54,367	56,823	50,913	31,358	34,975	34,551	44,792	38,905	54,709	40.6%	-	-
Others	42,187	52,929	47,788	41,802	45,676	45,946	50,779	49,575	43,967	44,393	36,269	-18.3%	-	-
Mexico	5,409	5,459	5,699	5,810	4,165	3,329	3,125	4,877	5,786	5,661	6,431	13.6%	-	-
European Union	6,929	7,227	8,983	7,644	7,393	7,889	11,355	8,024	7,314	6,188	5,838	-5.7%	-	-
Argentina	2,698	3,923	2,857	4,517	5,869	3,132	4,748	2,323	2,476	4,581	4,186	-8.6%	-	-

Source: USDA, J.P. Morgan Estimates.

Figure 41: Brazil Corn Production

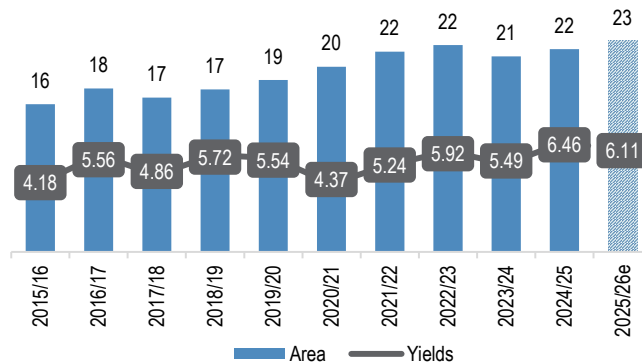
mtons



Source: CONAB, J.P. Morgan

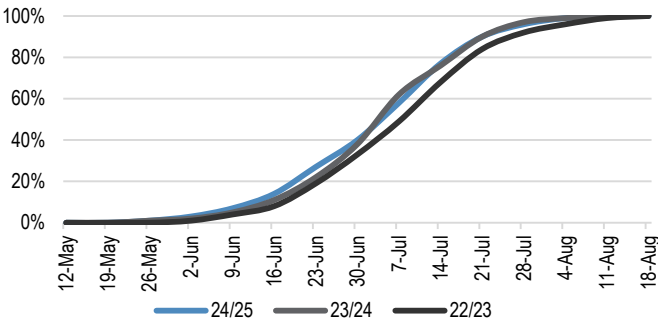
Figure 42: Brazil Corn Area (columns) and Yields (line)

mn hectares, ton/hectare



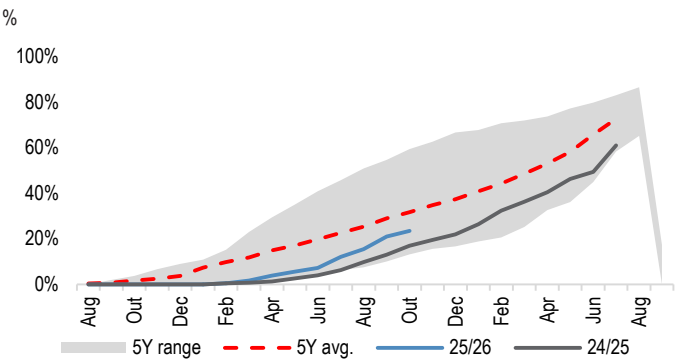
Source: CONAB, J.P. Morgan

Figure 43: Brazil Corn Harvest



Source: IMEA, J.P. Morgan.

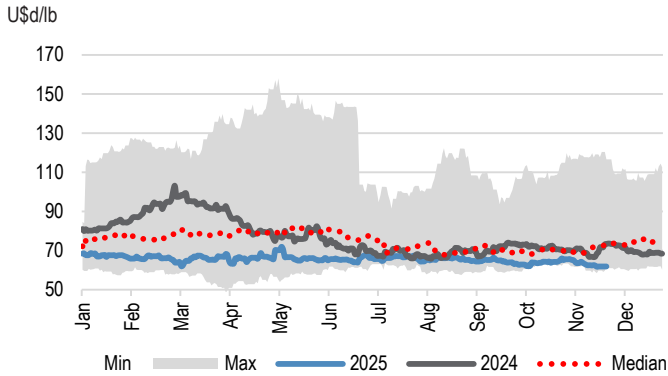
Figure 44: Brazil Corn Selling Pace



Source: IMEA, J.P. Morgan.

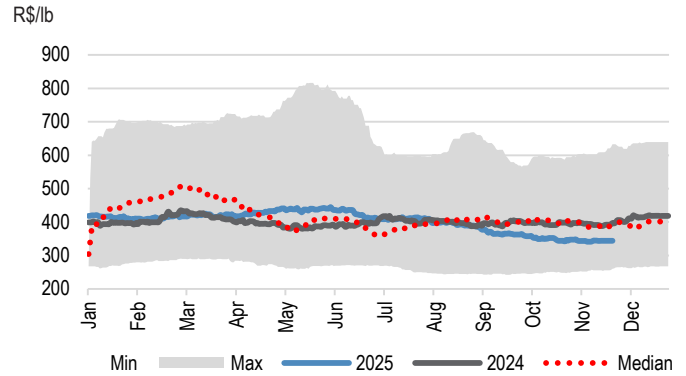
Cotton: Key Charts

Figure 45: Cotton Prices (CT 1)



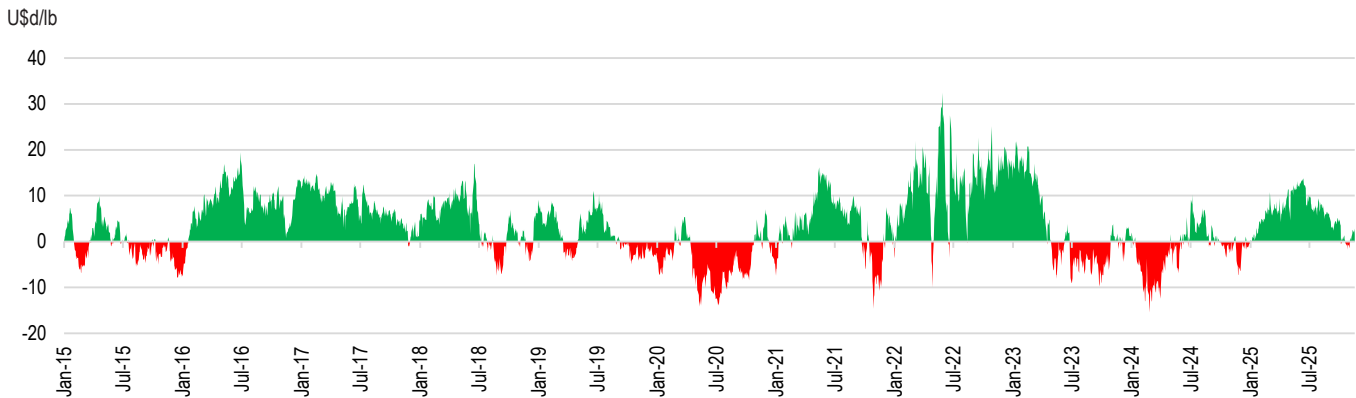
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 46: Cotton Prices Bz



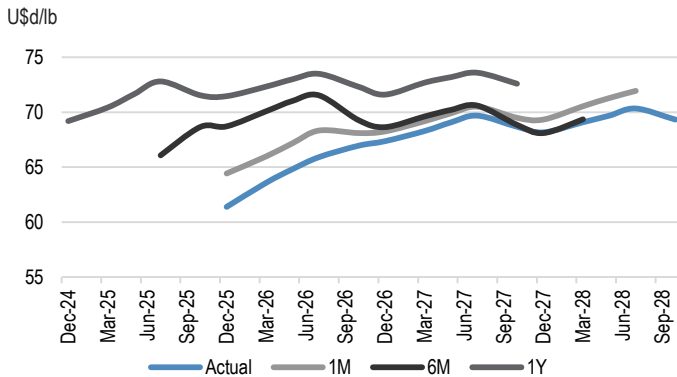
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 47: Cotton Basis



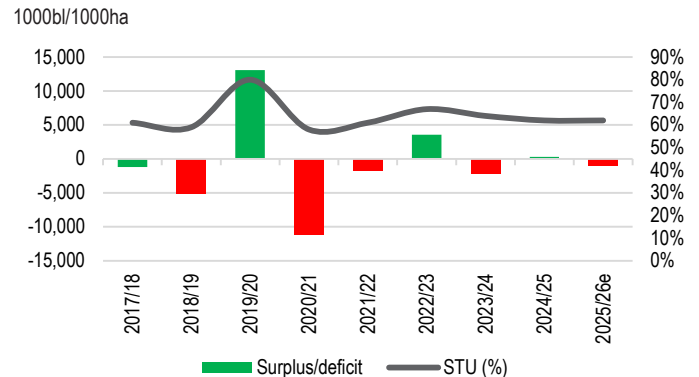
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 48: Cotton Futures Curve



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 49: Cotton Global Balance and Stock to Use Ratio



Source: USDA, J.P. Morgan

Figure 50: Global Cotton Supply and Demand

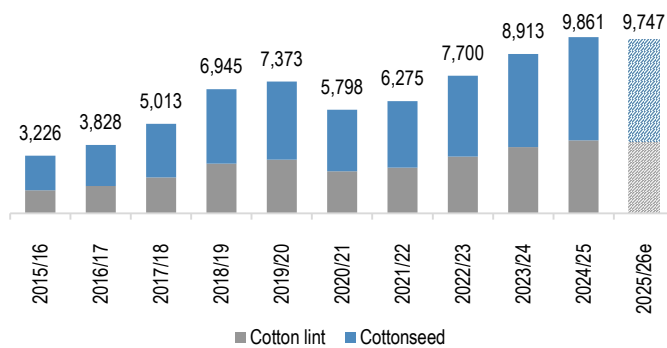
1000b/1000ha

Cotton														
Production	2015/2016	2016/2017	2017/2018	2018/2019	2019/2020	2020/2021	2021/2022	2022/2023	2023/2024	2024/2025	2025/2026 USDAe	y/y	2025/2026 JPMe	y/y
China	21,400	21,550	27,000	27,250	26,900	29,300	26,700	30,750	27,350	32,000	33,500	4.7%	32,500	1.6%
Others	22,640	25,760	29,455	25,295	23,693	23,573	28,992	28,821	26,177	26,869	24,715	-8.0%	-	-
India	25,900	27,000	29,000	26,000	28,500	27,500	24,300	26,300	25,400	24,000	24,000	0.0%	24,000	0.0%
Brazil	7,180	5,920	7,020	9,220	13,000	13,780	10,820	11,720	14,570	17,000	18,750	10.3%	18,250	7.4%
United States	12,888	17,170	20,923	18,367	19,913	14,608	17,523	14,468	12,066	14,413	14,115	-2.1%	13,486	-6.4%
Pakistan	7,000	7,700	8,200	7,600	6,200	4,500	6,000	3,900	7,000	5,000	5,000	0.0%	-	-
Imports														
Others	12,459	14,111	13,251	12,358	10,735	9,367	10,030	9,346	8,149	11,259	11,707	4.0%	-	-
Vietnam	4,600	5,508	6,986	6,931	6,481	7,288	6,631	6,471	6,585	7,979	8,200	2.8%	8,100	1.5%
Bangladesh	6,375	6,800	7,600	7,000	7,700	8,400	8,450	7,000	7,575	8,050	8,100	0.6%	8,200	1.9%
Pakistan	3,300	2,450	3,400	2,850	4,000	5,400	4,500	3,200	6,100	6,100	5,900	-3.3%	6,000	-1.6%
China	4,406	5,040	5,708	9,628	7,137	12,796	7,782	6,232	14,976	5,186	5,400	4.1%	6,000	15.7%
Turkey	4,486	3,851	4,391	3,607	4,672	5,327	5,524	4,189	3,566	4,459	4,700	5.4%	4,800	7.6%
Exports														
Brazil	4,312	2,788	4,175	6,019	8,937	11,012	7,727	6,656	12,310	13,021	14,500	11.4%	14,300	9.8%
United States	9,153	14,917	16,281	14,700	15,300	16,050	14,050	12,450	11,750	11,900	12,200	2.5%	12,200	2.5%
Others	12,197	11,272	10,939	12,074	11,044	12,061	11,795	9,062	11,153	9,807	9,752	-0.6%	-	-
Australia	2,828	3,731	3,915	3,632	1,359	1,581	3,571	6,186	5,764	5,225	5,100	-2.4%	5,500	5.3%
India	5,764	4,550	5,182	3,521	3,200	6,189	3,743	1,099	2,310	1,325	1,300	-1.9%	1,000	-24.5%
Benin	650	825	1,070	1,390	970	1,570	1,780	1,100	1,050	1,150	1,150	0.0%	-	-
Ending Stocks														
China	56,098	44,127	35,699	33,264	33,144	33,830	34,167	33,355	36,719	34,844	35,169	0.9%	33,769	-3.1%
Others	17,141	16,988	21,090	20,204	23,604	18,762	16,988	18,338	17,199	17,531	17,536	0.0%	-	-
India	7,044	7,880	8,625	8,604	15,684	11,839	8,396	10,824	9,299	10,015	10,515	5.0%	-	-
Australia	1,835	2,259	3,284	1,922	1,198	2,517	4,996	4,810	4,221	4,786	4,346	-9.2%	-	-
United States	3,800	2,750	4,200	4,950	7,450	3,650	4,600	4,650	3,150	4,000	4,300	7.5%	3,672	-8.2%
Brazil	1,835	2,058	1,799	1,748	2,589	2,119	2,050	3,928	2,826	3,309	4,064	22.8%	-	-

Source: USDA, J.P. Morgan

Figure 51: Brazil Cotton Production

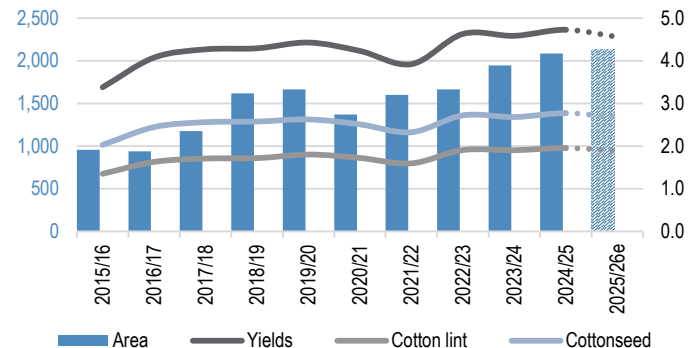
ktons



Source: CONAB, J.P. Morgan

Figure 52: Brazil Cotton Area and Yields

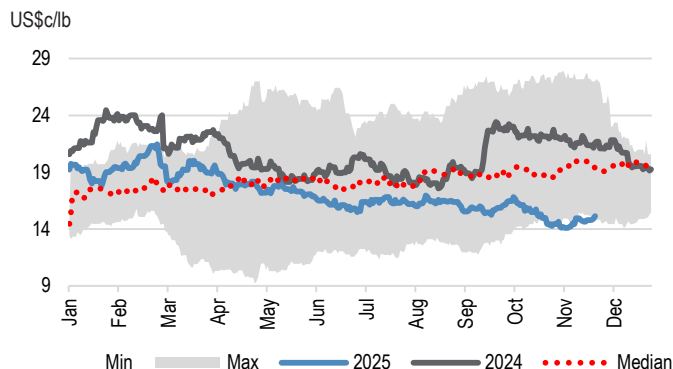
thousand ha, kg/ha



Source: CONAB, J.P. Morgan

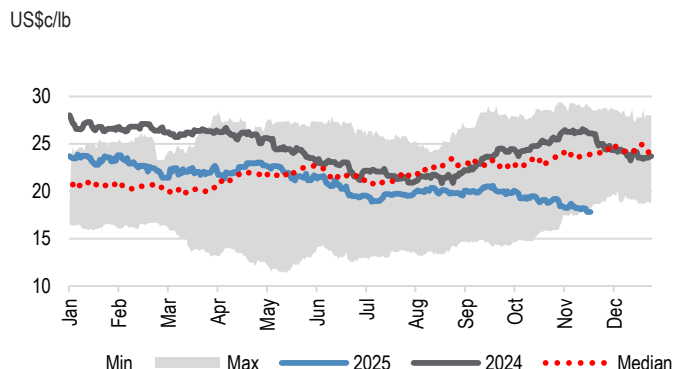
Sugar & Ethanol: Key Charts

Figure 53: Sugar Prices NY



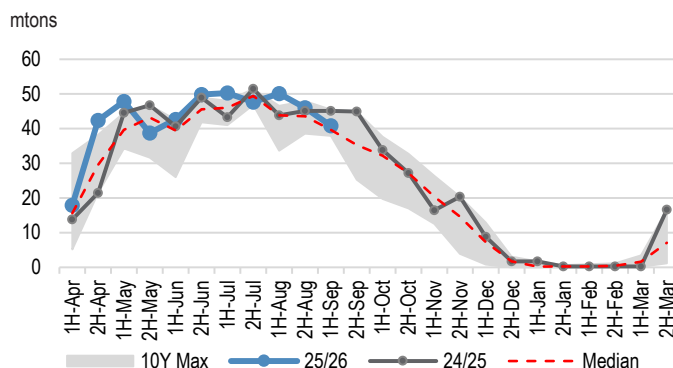
Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 54: Sugar Prices Bz



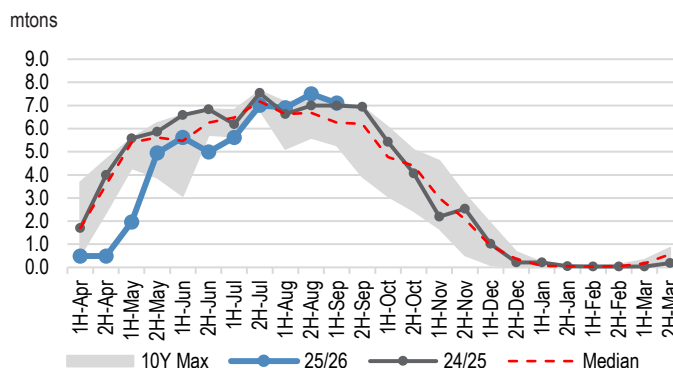
Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 55: Brazil CS Crushing



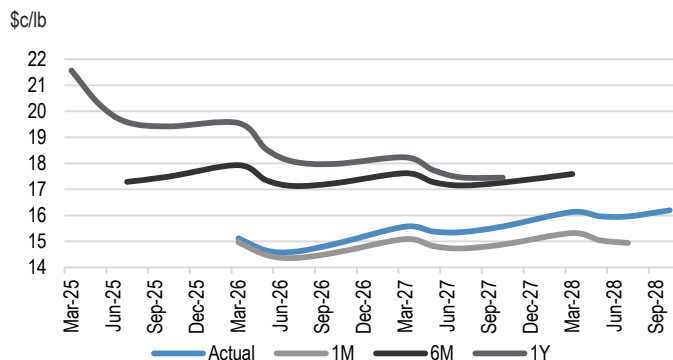
Source: UNICA, J.P. Morgan

Figure 56: Brazil CS Total Sugar Recoverable



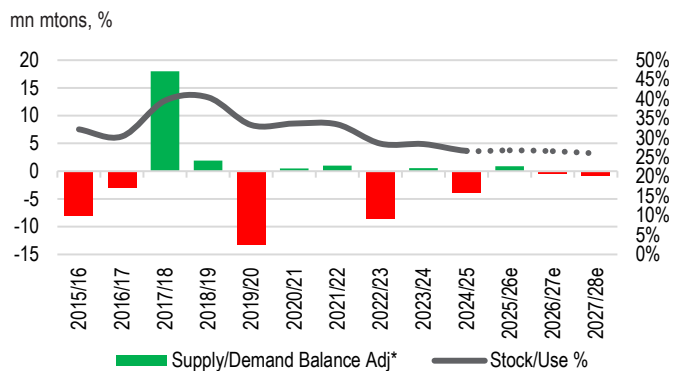
Source: UNICA, J.P. Morgan

Figure 57: Sugar Futures Curves



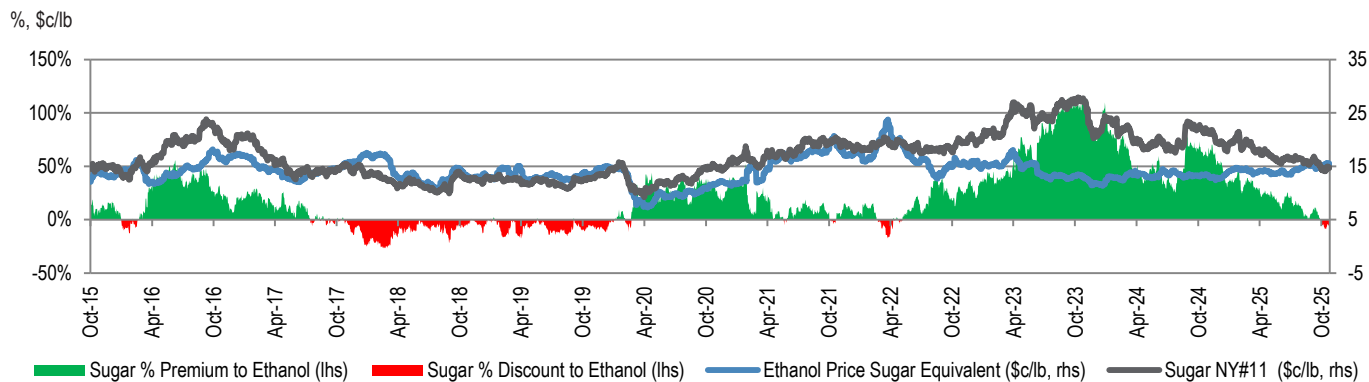
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 58: Sugar Global Balance and Stock to Use Ratio



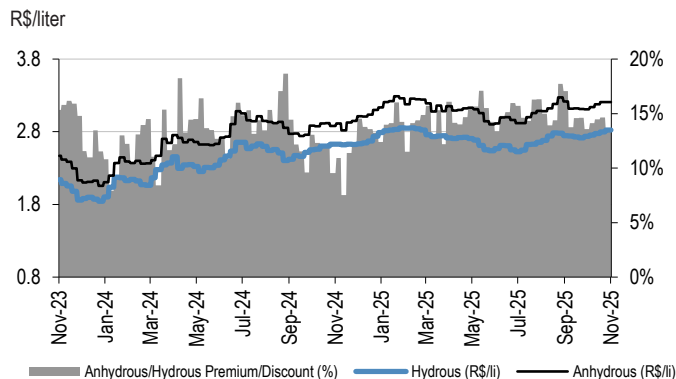
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 59: Sugar x Ethanol Premium



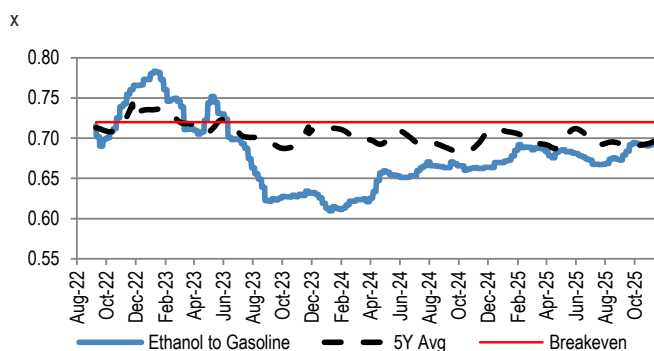
Source: Bloomberg Finance L.P., J.P. Morgan

Figure 60: Anhydrous & Hydrous Prices



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 61: Brazil Average Ethanol x Gasoline Parity



Source: Bloomberg Finance L.P., J.P. Morgan

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Adecoagro (AGRO, AGRO US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
07-Feb-23	N	8.17	9
19-Apr-23	N	8.58	8.5
25-May-23	N	9.14	10
16-Nov-23	N	10.54	11.5
07-Dec-23	UW	12.13	10.5
01-Jul-24	N	9.73	11.5
25-Sep-24	N	11.58	12
27-Mar-25	NR	11.15	--

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Sep 28, 2015. All share prices are as of market close on the previous business day.

SLC Agricola (SLCE3.SA, SLCE3 BZ) Price Chart



Date	Rating	Price (R\$)	Price Target (R\$)
20-Jan-23	OW	21.89	29.5
10-Mar-23	OW	21.36	26.5
19-May-23	OW	17.71	23.5
22-Nov-23	OW	18.89	22.5
15-Feb-24	OW	18.57	24
15-Jul-24	OW	19.11	26
29-Sep-24	N	18.66	23
01-Apr-25	N	18.60	22

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Jul 27, 2007. All share prices are as of market close on the previous business day.

Sao Martinho (SMT03.SA, SMT03 BZ) Price Chart



Date	Rating	Price (R\$)	Price Target (R\$)
09-Dec-22	N	26.26	33
07-Feb-23	OW	26.02	36
16-Nov-23	OW	34.69	42
07-Dec-23	N	29.94	35
01-Jul-24	N	32.73	38
19-Sep-24	OW	26.75	35
09-Apr-25	OW	19.35	28
25-Jul-25	OW	17.60	30

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Dec 01, 2008. All share prices are as of market close on the previous business day.

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